

ANNUAL REPORT 2014

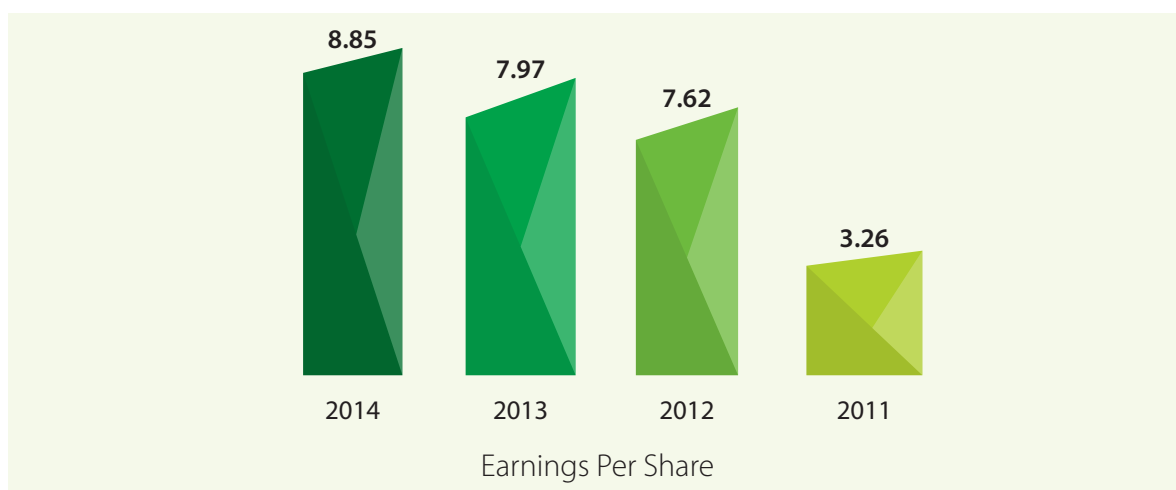
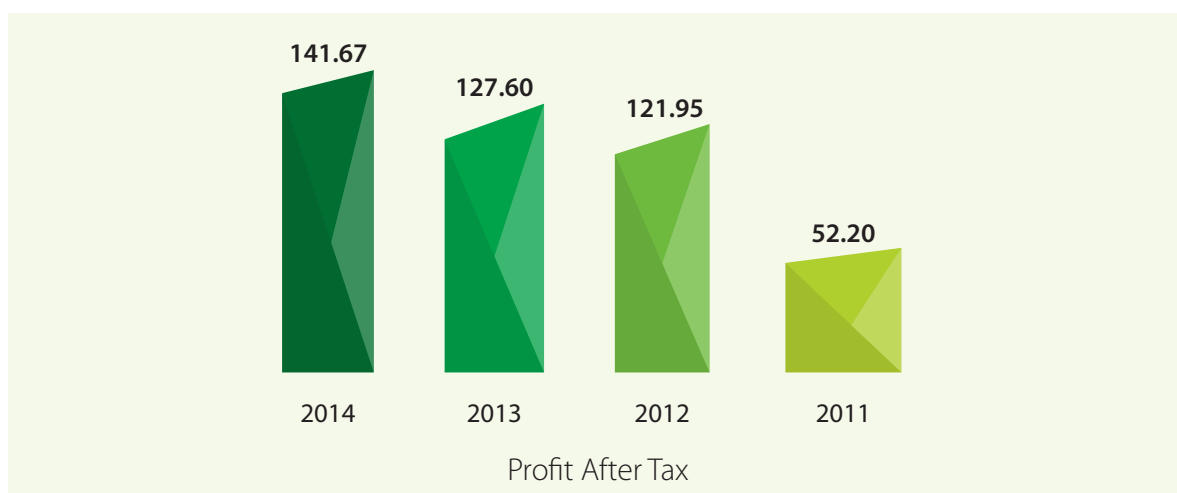


Bangladesh Infrastructure Finance Fund Limited
(A Company under the Ministry of Finance)

Financial Highlights

BDT in Crore

Particulars	2014	2013	% Inc/(Dec)
Total Operating Income	275.64	225.73	19.34
Profit After Tax	141.67	127.60	11.02
Total Asset	2254.75	2124.88	6.11
Shareholders Equity	2043.43	1901.76	7.45
Return on Asset	7.16%	6.76%	5.19
Return on Equity	6.90%	6.70%	2.98
Net Asset Value Per Share	BDT 127.71	BDT 118.85	7.45
Earnings Per Share	BDT 8.85	BDT 7.97	11.04



Post-2014 Highlights

Encouraging Foreign Investors

Dhaka, the capital of Bangladesh is the largest and most densely populated city in the country, with 18 million people which is increasing rapidly. Considering the perennial traffic problem of the City, Government intends to construct a 18.91 km Main Carriageway Elevated Expressway starting from Hazrat Shahjalal International Airport to Kutubkhali at Chittagong Road. It is the first Public-Private Partnership (PPP) Project under the PPP Guidelines and also one of the first priority projects of the Government.

In July 2015, BIFL has approved a term loan facility in favor of the project amounting BDT 400 crore.



Catalyzing Finance for the Economic Zones

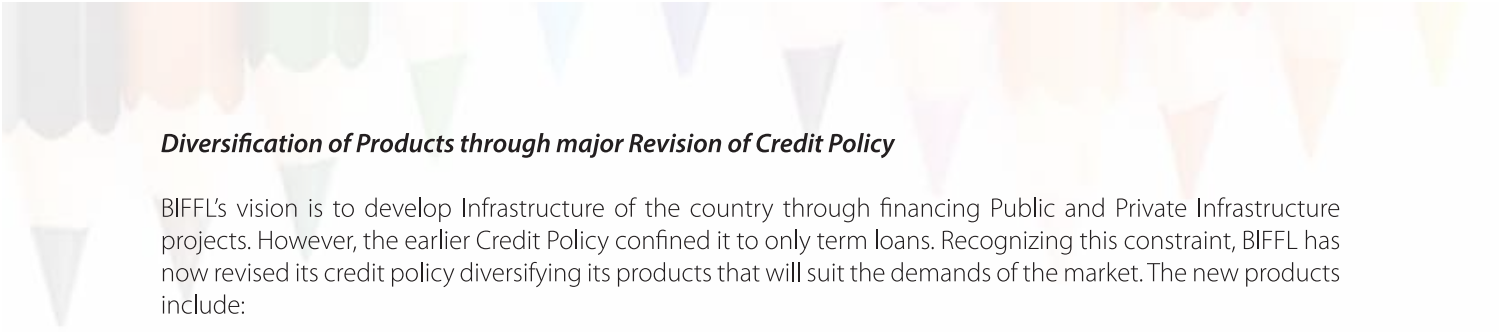
Developing Economic Zone is a new initiative of the Government towards achieving its Vision-2021. BIFFL is committed to mobilize financing for eligible economic zone projects. It has approved a term loan of BDT 365 crore for Shreehotto Economic Zone being developed at Moulvibazar, Sylhet. The zone will have all the international standard facilities on a land area of 312 acres.



Financing the First ever Indo-Bangla Joint Venture Mega Power Plant

The Bangladesh-India Friendship Power Company (BIFPC) Limited is a proposed 1320 megawatt coal-fired power plant at Rampal, Bagerhat. It is a joint partnership between India's state owned National Thermal Power Corporation and Bangladesh Power Development Board. It is a Fast Track project in the power sector of Bangladesh. BIFFL is actively considering to arrange part of the finance for this project. In July 2015, BIFFL has issued a non-binding Initial Letter of Interest in this regard.





Diversification of Products through major Revision of Credit Policy

BIFFL's vision is to develop Infrastructure of the country through financing Public and Private Infrastructure projects. However, the earlier Credit Policy confined it to only term loans. Recognizing this constraint, BIFFL has now revised its credit policy diversifying its products that will suit the demands of the market. The new products include:

- | | |
|---------------------------------|--------------------------|
| (a) Term Loan | (b) Working capital loan |
| (c) Bridge financing | (d) Factoring |
| (e) Lease financing | (f) Bond financing |
| (g) Commercial paper/instrument | (h) Take over financing |
| (i) Take out financing | |

Equity shortfall is also a major impediment of Infrastructure projects. Considering this the Credit Policy has been revised to include following products/instruments:

- (a) Ordinary Shares
- (b) Preference Shares
- (c) Mezzanine financing
- (d) Convertible debt

Embarking on Energy Efficiency Activities

Energy efficiency means using less energy to provide the same service. When we replace any factory or home appliance, (such as a boiler or refrigerator), or any office equipment, (such as a computer or printer), with a more energy-efficient model we are introducing an energy efficiency activity. This saves us money on our energy bill and reduces the amount of greenhouse gases going into the atmosphere. BIFFL is stressing on this modality to implement its eco-friendly investment agenda. Currently, BIFFL is working with Sustainable & Renewable Energy Development Authority (SREDA) to channel a JICA fund for Energy Efficiency and Conservation. BIFFL has already been chosen to be an implementation agency for the fund jointly with IDCOL. Studies are ongoing to make it a nationwide full-fledged campaign initially for a period of 5 years.

Appointment of new CEO

On the 1st of June 2015, BIFFL appointed Mr. S.M. Formanul Islam as its new Executive Director and Chief Executive Officer (CEO).

Previously, Mr. Islam worked as the Deputy Chief Executive Officer of Infrastructure Development Company Limited (IDCOL). He also worked with the PricewaterhouseCoopers Securities LLC and Bangladesh Legal Aid and Services Trust.



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Vision

Acceleration of economic growth by leveraging relative strengths of Public and Private Sector through financing PPP Infrastructure Projects.

Mission

- To perform as a highly dedicated Financial Institution of Bangladesh in a professional manner by adopting the internationally accepted best practices, to keep high the ethical values, and to maintain transparency in all our activities.
- To promote Country's economic development by facilitating and encouraging Private Sector Investment in all infrastructure projects.
- To support sustainable economic growth of Bangladesh through facilitating Infrastructure Development.

Objectives

- To promote, encourage and finance Private Sector Investment in all infrastructure sector.
- To extend financing facilities for the infrastructure projects in the form of debt or equity.
- To attract private investment in long term infrastructure projects: overcoming the asset liability mismatch of existing bank finance
- To create funds, sub-funds, including Islamic Funds, and any other type of Funds as deemed appropriate by the Company.

Goal

- To provide long-term finance to critically important infrastructure projects.
- To catalyze co-financing from private financial sources.
- To provide a unique vehicle for capital market development by exploring a number of avenues to capture domestic and foreign investment within the contexts of a robustly designed and well-governed investment vehicle.

Strategic Priorities

- To develop, finance & monitor and implement infrastructure projects
- To focus on recruitment and retention of skilled, honest, creative and talented manpower
- To ensure transparency, accountability, fairness in operation and zero tolerance on corruption and sexual harassment
- To maximize shareholder equity by maintaining asset quality with balanced and sustainable growth
- To enhance brand image through excellent customer service, CSR activities and finance in green & energy efficient projects

Core Values

1 Professional excellence

- We provide quick and accurate services to our customers
- We handle individual work in a professional manner

3 Transparency

- We focus on the highest level of transparency while providing accurate and timely information about our products, performance and financial results to meet the expectations of our stakeholders

5 Customer

- We patiently listen to our customers and understand their needs
- We build enduring relationship with our customers by delivering quality services

7 Prudent risk taker

- We manage investment risks prudently adhering to the philosophy of allocating risks among those who can manage them better

9 Focus on sustainability

- While considering a project we attach high importance on its social and environmental impact to make the project sustainable in the long run

11 Quality

- We strive to exceed expectations
- We do not compromise with our service standard

2 Integrity

- Integrity and ethics are the hallmarks of our business operation
- We strictly maintain zero tolerance policy on corruption

4 People

- We support our colleagues and invest in their development to help them realize their full potential
- We recognize and reward outstanding performance

6 Joint effort

- We work together to deliver excellent performance, taking responsibility, holding ourselves accountable and respecting the contribution of others
- We communicate effectively & efficiently and give each other space to do the job

8 Effectiveness

- We actively invest in infrastructure, process improvement and skills to lower our delivery costs
- We do the right things right the first time, on time, every time

10 Building the Future

- We believe in real and sustainable benefit
- We support green to protect environment
- We keep building long-term relations with our employees, shareholders, customer and community

12 Accountable citizen

- We are tax compliant
- We are sensitive to the social causes
- We are respectful to the laws of the land

Ethical Values

Ethical values are based on our corporate norms & culture and it expresses basic ethical code, attitudes and rules that the employees follow at their work. We maintain solid and clearly defined corporate culture. It is the system of behaving each other, co ordinate and team work in certain circumstances.

	Equality	Transparency	Respect	Liberty	Belief
Colleagues	- No discrimination on the grounds of sex, race and religion - Practices respect and care towards employees at all time - No nepotism in recruitment, promotion, training and incentive policies	- Sharing knowledge to enhance company's value - Ensure transparency in career path	- Listen and pay attention to employees, respecting their values, feeling, and moral stance - Never use any undue pressure or offence	- Create proper environment, freedom of dissent and freedom to express what one thinks - Offer everybody the chance to practice the values of leadership and develop his/her own professional personality	Keep our commitment, admitting the possibility of mistakes made in good faith
Customers	- Strive for excellence customer service at all times - Pay appropriate attention to each of our customers	Ensure timely information on products and services at all times	Maintain confidentiality of any information acquired both in relation to customer, the company itself and its decisions	Handle interpersonal relations in free and equal terms without being in awe of those who are stronger and without arrogance towards those who are weaker	Build-up confidence through behaviors that constantly confirm our reputation and relationship
Investors	Pay appropriate attention to the investors, without discrimination	- Aim to be clear, complete and timely - Use most effective communication channel for investors - Turn market communication into an economic and cultural value	Behave with investors in line with corporate values and professionalism, ethics	Achieve freedom of action such that we can keep the promises we make to the market without undue influence	- Develop lasting and continuous relationship with the financial community - Safeguard our consistency and credibility - Willingly accept any criticism expressed by the market
Communities	Maintain sustainable relationship with stakeholders in order to protect our environment	Keep the community informed of what we do and how we do it	Promote growth which is environmentally and socially sustainable	Respect individual moral codes and culture	Establish social and cultural relations with communities, whose distinctive features should be reciprocity

Corporate Information

BOARD OF DIRECTORS

Chairman

Mr. Mahbub Ahmed

Senior Secretary, Finance Division, Ministry of Finance.

Directors

Ms. Suraiya Begum, ndc

Secretary, Prime Minister's Office

Mr. Monowar Islam, ndc

Secretary, Power Division, Ministry of Power, Energy and Mineral Resources

Mr. M.A.N. Siddique

Secretary, Road Transport & Highways Division, Ministry of Road Transport and Bridges.

Mr. Md. Abubakar Siddique,

Secretary, Energy & Mineral Resources Division, Ministry of Power, Energy and Mineral Resources.

Khandker Anwarul Islam

Secretary, Bridges Division, Ministry of Road Transport and Bridges.

Mr. A.R.M. Nazmus Sakib

Additional Secretary, Finance Division (TDM), Ministry of Finance.

Mr. S.M. Formanul Islam

Executive Director and CEO

Executive Director & Chief Executive Officer

Mr. S.M. Formanul Islam

Company Secretary

Mr. Mohammad M. Khan

Executive Committee

Chairman

Khandker Anwarul Islam

Members

Mr. Monowar Islam, ndc

Mr. A.R.M. Nazmus Sakib

Mr. S.M. Formanul Islam

Member Secretary

Mr. Mohammad M. Khan

Audit Committee

Chairman

Mr. M.A.N. Siddique

Members

Mr. Md. Abubakar Siddique

Mr. A.R.M. Nazmus Sakib

Member Secretary

Mr. Mohammad M. Khan

Registered Office

4, Anjuman Mufidul Islam Road,
Kakrail, Dhaka-1000.

PABX: +880-2-8333238-9

FAX: +880-2-9348518

Incorporation

Company Registration No-C91370/11

March 21, 2011

Licensing By Bangladesh Bank

October 16, 2011

DFIM (L)-32

Share Capital

Authorized Capital

BDT 10,000 Crore

Paid-up Capital

BDT 1600 Crore

Value per Share

BDT 100 Each

Sponsor

Government of Bangladesh

Website

www.biffl.org.bd

Auditors

M/s. S.F. Ahmed & Co.

Chartered Accountants

House # 51 (2nd Floor), Road # 09; Block-F,
Banani, Dhaka;
Bangladesh.

Advisory Board

In Accordance with the Articles of Association of BIFFL (Article-134 & 135), ten-Member Advisory Board was formed which is the apex body of the organization to provide strategic guidance and monitor the implementation with a view to updating and implementing the Company vis-a-vis Government's goals for Infrastructure development.



Abul Maal A. Muhith

The Honorable Minister
Ministry of Finance



Amir Hossain Amu

The Honorable Minister
Ministry of Industries



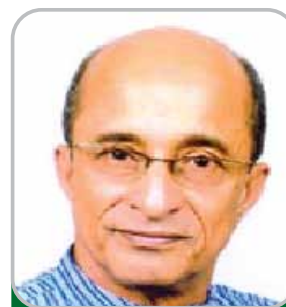
Obaidul Quader

The Honorable Minister
Ministry of Road Transport
and Bridges



Shajahan Khan

The Honorable Minister
Ministry of Shipping



Dr. Tawfiq-E-Elahi Chowdhury BB

Advisor to the Honorable
Prime Minister For Ministry
of Power, Energy & Mineral
Resources



Dr. Syed Abdus Samad

Executive Chairman
Board of Investment,
Bangladesh
Prime Minister's Office



Dr. Atiur Rahman

Governor
Bangladesh Bank



Dr. Mohammed Farashuddin

Ex Governor
Bangladesh Bank



Dr. Zaidi Sattar

Chairman
Policy Research Institute of
Bangladesh

Board of Directors

The authority to adopt policies and making decisions of the Company is vested with its Board of Directors comprising eight Members:



Chairman



Director



Director



Director



Director



Director



Director



Executive Director & CEO

BIFFL Team



Message from the Chairman, Advisory Board

12 September 2015

Ministry of Finance
Government of the People's
Republic of Bangladesh



Abul Maal A. Muhith
Minister

Message

I am glad to know that Bangladesh Infrastructure Finance Fund Limited (BIFFL) is holding its 4th Annual General Meeting. On behalf of the Advisory Board of BIFFL, I would like to express my heartiest congratulation to all shareholders, directors and employees of the company for successfully completing another financial year.

There is no denying the fact that one of the main hindrances to the economic development of Bangladesh is lack of adequate infrastructure. To achieve the country's goal for becoming a middle income country by the 2021, GDP growth rate has to be raised to 8%, and investment to GDP ratio needs to be enhanced substantially. To achieve these, there is no alternative to development of infrastructure to a certain level. I strongly believe and hope that BIFFL has huge potential for the development of the infrastructure of the country through financing large infrastructure projects.

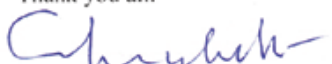
Government has initiated allocating fund in its national budget since 2011 for Public Private Partnership projects and, so far, about 40 medium and large infrastructure projects have been included in the pipeline. I could see that BIFFL will be able to strongly support these projects through extending necessary financial and technical support.

I am also glad to know that the Board of Directors of BIFFL has proposed declaration of cash dividend of Tk.10 crore to the Government and increasing the company's paid-up capital from Tk.1,600 crore to Tk.1,930 crore using retained earnings of the Company accumulated in the past years.

I am encouraged to learn that BIFFL has recently approved financing for few mega projects i.e. Dhaka Elevated Expressway, Shrihotto Economic Zone and considering to finance Bangladesh India Moitree Power Project (Rampal). It is my strong belief that in the coming days BIFFL will play a bigger role at the national level towards achieving Government's vision 2021 by investing in PPP as well as other large infrastructure projects.

I would like to convey my sincere thanks to my fellow members of the Advisory Board for their generous cooperation and support for the improvement of the company during the year. I am also grateful to Bangladesh Bank and other regulators for their support and guidance. Finally, my sincere thanks and best wishes to all the employees of BIFFL for their continued hard work and commitment.

Thank you all.


(Abul Maal A. Muhith, MP)
Chairman, Advisory Board

Address: Building # 7 (3rd floor), Room # 331-339, Bangladesh Secretariat, Dhaka-1000, BANGLADESH
Phone: 088-02-9514477, 9514301(PS), 9571515 (APS), 9512204(PRO, Fax # 088-02-9514404



From the Desk of

The Chairman, Board of Directors

12 September 2015

On behalf of the Board of Directors and shareholders of BIFFL, it is my great pleasure to congratulate all concerned on the occasion of 4th Annual General Meeting of the company. I would like to take this opportunity to express my heartiest gratitude and thanks to all members of the Advisory Board, Board of Directors and shareholders of BIFFL for extending continued support and cooperation in running the company smoothly in the last financial year.

The year 2014 can be marked as a great year for our economy with consistent growth rate, low inflation, high foreign exchange reserve and increased inward remittance etc. The per capita income of the country rose up to BDT 1,190 pushing the economy to lower-middle income level. Capital market of the country also got momentum in 2014 due to demutualization of bourses and other reform measures undertaken by the Government. Other social indicators including poverty line, life expectancy were in the positive direction.

The year 2014 has been a good year for BIFFL as well, as its financials portray healthy key performance parameters i.e. profitability, capital adequacy, quality of assets etc. In comparison to previous fiscal, profit after tax increased from Tk 128 crore to Tk 142 crore which has an 11% growth. Shareholders' equity increased up by 7% from the last year (from Tk 1,902 crore to 2,043 crore). BIFFL's Capital Adequacy Ratio is 130% against required 10% and the company is consistently in Green Zone in the Stress Testing conducted by the Central Bank.

Since its inception, the only source of income of BIFFL was the interest income from Fixed Deposit Receipt of its fund. The company has started asset booking by extending finance in favor of one power plant from which the company earned Tk 6.0 crore as income in the reporting year.

In the year 2014, BIFFL made direct contribution of Tk 130 crore to national exchequer by paying income tax. As a part of CSR activities, BIFFL also contributed Tk. 5.00 lac to Muktijuddho Jadughar in the same year.

For the first time BIFFL Board has proposed payment of Tk.10 crore as cash dividend and raising company's paid-up capital from Tk.1,600 crore to Tk.1,930 crore through issuance of bonus shares in favor of the Government. Increased paid-up capital will certainly strengthen the company's financial health further.

We have concentrated to explore new and diversified avenues related to infrastructure financing with the aim of developing and maintaining a sound and sustainable portfolio. Considering that human resource is one of the main elements to make organization a success, BIFFL recruited 60% of its existing manpower in different categories in 2014.

BIFFL's potential projects pipeline became robust during the year which also includes some renewable energy and energy efficiency projects. Post FY 2014, the Board has approved for financing few milestone projects such as, Dhaka Elevated Expressway, Sreehotto Economic Zone Project, and now considering the Bangladesh India Moitree Power Project (Rampal).

In conclusion, I would like to record my deep appreciation for BIFFL employees all who worked hard with commitment and devotion for the company in 2014, and for the borrowers who trust us and maintained continued cooperation. I am also grateful to all the stakeholders and regulatory bodies like the Ministry of Finance and Bangladesh Bank for all their continued support and cooperation.

I firmly believe that BIFFL has the capability to face the new challenges of its business environment with its dedicated workforce and the year 2015 will be a year of greater success for the company.

Mahbub Ahmed
Chairman

From the Desk of

The Executive Director & CEO

12 September 2015

It gives us immense pleasure to celebrate the 4th Annual General Meeting of BIFFL. I would like to express my deepest gratitude to the Advisory Board, Board of Directors, and Shareholders of BIFFL for their continued support and guidance to run the Company smoothly in the past year. I am also grateful to them for their firm confidence in the management over the years.



Starting in March 2011, the Company has been steadily striving towards achieving its goals envisioned by its founders, despite having had some initial hiccups and teething troubles. The Company is now well established in its stead and better poised to take upon the role of a leading infrastructure finance company in Bangladesh.

The Financial Year 2014 was remarkable for the Company in terms of booking its first two infrastructure loans and creating a pipeline of projects for financing. In 2015, the Company is expected to thrive on this solid foundation. It has already undergone some reforms and at the advance stage of getting more in its operation, credit policy, products and services, port-folios and long-term sustainability. It has already shrugged-off the label of being a mere fund manager and has emerged as a full-fledged financial intermediary that can handle the market demand with highest standard of professional efficiency and commitment.

Recognizing the need for having appropriate staff strength to deal with varying needs from the infrastructure sector, the Company has revised its organogram that suits the best market practice. The Company's product line has been diversified too, including term loan, working capital loan, bridge financing, factoring, take over financing, take out financing, lease financing, commercial paper, mezzanine financing and equity investment as new products. Even though financing large projects is BIFFL's main stay, special emphasis is now cast on financing of green and sustainable projects. Several development partners have shown interests to support BIFFL's green initiatives.

BIFFL is ready to launch itself to the next level in 2015. It is aspiring to be transformed into a Multi-dimensional financial institution from its current one dimension (fund). It will work closely with all development finance parties and stakeholders in order to create a robust project pipeline. It will also explore all possible avenues to increase its windows of resources – these might be development partners, strategic investors and bond/capital markets. BIFFL has already approached several development partners for providing foreign currency support. Undeniably, an almost flat LIBOR has made foreign currency loan extremely lucrative for large infrastructure projects, while the supply seems inadequate. BIFFL is trying to meet up this gap.

BIFFL will continue to encourage and facilitate promotion of public-private partnership in both physical and social infrastructure sectors towards achieving the country's vision of achieving middle-income status by 2021. All at BIFFL are eager to venture into a new era of financial services in the infrastructure sector and keen to take on the new challenges it might present.

Finally, I would like to take this opportunity to thank our valued borrowers - existing and the ones whose projects are under active consideration - for choosing us for financial services. I am also grateful to our regulators for their continued guidance. The committed efforts and dedication of our lean but multi-tasking staff are also kindly appreciated.

S.M. Formanul Islam
Executive Director & CEO



Directors' Report



Dear Shareholders,

Assalamu alaikum,

The Board of Directors of Bangladesh Infrastructure Finance Fund Limited (BIFFL) takes the pleasure to present the Annual Report and the Audited Financial Statement of the Company for the year ended on 31st December 2014. This report is prepared in compliance with section 184 of the Companies Act 1994; and the applicable regulations of Bangladesh Bank, Bangladesh Accounting Standards (BAS) and Bangladesh Financial Reporting Standards (BFRS).

1. The World Economy

The world economy continues to grow at a modest pace, with a gradual improvement projected for the second half of 2015 and 2016¹. Growth of world gross product is projected to improve slightly from 2.6 percent in 2014 to 2.8 percent in 2015- a downward revision by 0.3 percentage points from the forecast presented in the World Economic Situation and Prospects (WESP) 2015. The downward revision reflects mainly deterioration in the prospects of the economies in transition and several large developing countries, especially in South America. In 2016, global growth is forecast to improve to 3.1 per cent, which is still well below the pre-crisis pace. The short-term growth prospects of most commodity-exporting economies have been downgraded; by contrast, commodity-importers tend to benefit from the lower prices in the form of reduced inflationary, fiscal and balance-of-payment pressures. The broad-based weakness in investment worldwide not only holds back current growth, but also reduces potential growth in the future. It is somewhat concerning that, despite highly accommodative monetary policies and historically low global interest rates, real investment has been weak in many parts of the world since the global financial crisis. The recent devaluation of China Yuan could prompt an irritated reaction from the US, which has consistently argued that the Yuan is undervalued, damaging US exports. It could also force other Asian countries to devalue, making exports cheaper and increasing trade deficit further against the major importing countries.

2. Macro economy/ financial sector of Bangladesh

Economic growth of Bangladesh in Fiscal Year 2014 (ended June 2014) was 6.18%, slightly improved from 6.0% in FY2013 (ended June 2013)². As per Monetary Policy Statement (Jan-Jun 2015) published by Bangladesh Bank, all three sectors of the economy: agriculture, industry, and services, are performing well. Industrial growth has been faster than others, as expected. The trend analysis shows 8 percent plus growth for industry and around 4 percent growth for agriculture. Services, being the largest sector (more than 50 percent), grows at 6 percent. The share of public and private investment in GDP is around 29 percent –adequate to generate 6 percent plus growth in output. Nevertheless, further efforts to augment the investment ratio are warranted. The growth in infrastructure sector is essential in this regard. The implementation of Annual Development Program requires speeding up to accomplish mega public projects that always create space for greater private investment. Although Bangladesh's Debt-GDP ratio is one of the lowest in the region, this ratio indicates the opportunities of productive debt by the Government – which can be used to build infrastructure and institutions that expedite financial activity. Government borrowings from the banking sector are decreasing, but increased borrowings from the nonbanking sector may increase the cost of fund and eventually prevent lending rates from falling.

Further measures to attract and facilitate FDI, which is still below 2 billion dollars, must be taken to raise the investment–GDP ratio that eventually generates growth. Foreign currency reserves are hovering over 26 billion dollars – enough to cover imports of more than 7 months. After a period of appreciation since early 2012, the exchange rate remained stable since mid-2014.

In the monetary and financial sector, domestic credit grew at 11.3 percent in November 2014 although it is projected to grow at 16 percent at the end of FY 2016⁴. Private Sector credit is projected to grow at 15 percent and public sector credit at 23.7 percent⁴. There is certainly an imperative for higher level of competition amongst Financial Institutions which will drive down the rate of interest. The slope of the yield curve is encouragingly positive to induce investors into capital market ventures. Despite some upside risks, inflation was kept under control. The economy is poised to achieve a respectable growth rate between 6.5 and 6.8 percent in the fiscal year 2015 if political stability prevails and the bottlenecks of infrastructure and energy are addressed promptly. Meanwhile, private sector credit growth has been targeted to grow at 15.5 percent at the end of FY2015. As per the news report the average lending rate came down to 11.93 percent in March 2015 which is a relief to industries and businesses when inflation has rolled down below 7 percent and the average deposit rate is 7.06 percent in March 2015, making the spread to 4.87 in March 2015.

3. Operational Performance of BIFFL

The company has completed and closed its financial year-2014 and also audited the financial transaction and records with financial results by the external auditor as per Law & Regulations. The auditors have submitted unclassified audit report

During the year 2014 the company earned BDT 1416.68 million after Tax and Statutory provision. The accumulated Retained Earnings profit after tax stands at the end of the year 2014 at BDT 3547.41million which has been derived from Interest on FDR (BDT 2,693.96 million) and the Interest from Loan and Advance (BDT 62.48 million). This amount of earned interest has increased the funding capacity of the organization.

The summary of financial results of the company for the year ended December 31, 2014 is as follows (in BDT million):

Key Financial Information

Particulars	Note	Yr. 2014	Yr. 2013	Changes in %	Remarks
Net Interest Income (Lease, Loan & Advance)	21	62.48	-	100%	Increased
Other Income (Interest from FDR & SND A/C)	24	2,693.96	2,257.27	19.35%	Increased
Operating Expenses	25-34	32.71	38.17	-14.30%	Decreased
Profit Before Income Tax		2713.4	2,219.10	22.27%	Increased
Provision for Income Tax	36	1296.72	943.12	37.49%	„
Net Profit After Tax & Provision		1416.68	1,246.27	13.67%	„
Transfer to Statutory Reserve	17	283.34	255.2	11.03%	„
Earnings Per Share (EPS)		8.85	7.97	11.04%	„
Authorized Capital	15	100,000.00	100,000.00	-	-
Paid up Capital	15	16,000.00	16,000.00	-	-
Statutory Reserve	17	886.85	603.52	46.95%	Increased
Retained Earnings	19	3547.41	2414.06	46.95%	Increased
Fixed Assets	9	6.3	7.09	-11.14%	Decreased

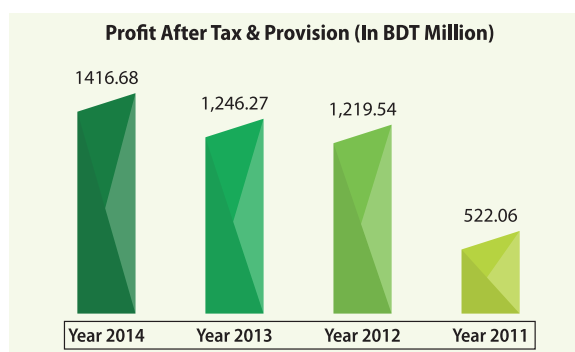
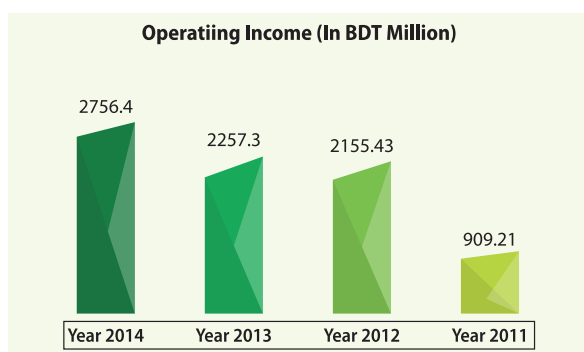
1. * UN- World Economic Situation and Prospects (WESP) as of mid-2015 report*

(<http://www.un.org/en/development/desa/policy/wesp>)

2. <http://www.adb.org/countries/bangladesh/economy>

3. Monetary Policy Statement (January-June 2015)

4. Monetary Policy Statement (July-December 2015)



4. Status of Approved Project of BIFFL in 2014:

The Board of Directors of BIFFL has approved the following large and medium sized projects:

BDT in Million

Sl.	Name of Project	Approved Loan Amt	Disbursed Amt.
1	Sinha Peoples Energy Ltd. (52.5 MW HFO fired Power Plant at Munshiganj)	1,000.00	993.52
2	Regent Energy & Power Ltd. (108 MW Gas fired Power Plant at Ghorashal)	300.00	Yet to disburse
3	Imperial Hospital Ltd. (353-bed Multi Specialty Hospital at Pahartaly, Chittagong)	500.00	Yet to disburse
4	Impulse Healthcare & Research Centre Ltd. (500-bed Multi Specialty Hospital at Tejgaon, Dhaka)	300.00	Yet to disburse
5	ARB Bricks Ltd. (Zig Zag Brick field at Dhamrai, Dhaka)	6.00	6.00
	Total	2,106.00	999.52

5. Status of Projects Approved (Post 2014)

BDT in Million

Sl.	Name of Project	Approved Loan Amt	Disbursed Amt.
1	First Dhaka Elevated Expressway Ltd. (FDEEL)	4,000.00	Yet to disburse
2	Sreehotto Economic Zone , Moulvibazar (A project of Bangladesh Economic Zone Authority)	3,650.00	Yet to disburse
	Total	7,650.00	

Remaining of the approved loan will be disbursed soon after completion of documentation and compliance of conditions precedent of loan agreement.

6. Status of Projects (Post 2014) :

Sl.	Name of Project	Project Cost	Loan sought from BIFFL
1	Bangladesh-India Friendship Power Company (Pvt.) Limited (BIFPCL) (an ultra super critical 1320 MW power plant at Rampal)	USD 1.68 billion	USD 200 million
2	Orion Power Dhaka Limited (a super critical coal fired 522 MW Independent Power Plant at Munshiganj)	USD 878.65 million	BDT 8,000.00 million
3	Orion Power Khulna Limited (a super critical coal fired 630 MW Independent Power Plant at Khulna)	USD 841.14 million	BDT 8,000.00 million
4	Exclusive Tourist Zone (ETZ), Sabrang, Cox's Bazar (a project of Bangladesh Economic Zone Authority)	N/A	BDT 450.00 million
5	Dhaka IT Special Economic Zone, Keranigonj, Dhaka (a project of Bangladesh Economic Zone Authority)	N/A	BDT 1,170.00 million
6	Abdul Monem Economic Zone at Gazaria, Munshiganj (a project of Abdul Monem Ltd.)	BDT 2000.00 million	BDT 1,000.00 million
7	IDLC Infrastructure & SME Zero Coupon Bond	BDT 5,000.00 million	BDT 1,000.00 million
8	Naz Auto Bricks Limited (NABL) (a tunnel-based Auto Brick Manufacturing Project at Rangpur)	BDT 646.57 million	BDT 100.00 million
9	Engreen Sharishabari Solar Plant Ltd. (3 MWp Grid-Tied Solar Power Plant at Sharishabari)	N/A	BDT 460. million

7. Status of BIFFL Loan

As of December 31, 2014, the overall recovery rate of BIFFL loan is 100%. There is no classified loan in the portfolio of BIFFL loan.

8. Sources of Fund

The growth of company's loan portfolio will require alternative sources of fund in the coming years. BIFFL is in discussion for sourcing alternative finance from the developing partners i.e. JICA, ADB, World Bank, KfW etc. Besides, BIFFL has other options like issuance of Bond and Shares through the Capital Market, in order to raise fund.

9. Human Resource

The BIFFL Board believes and considers that the Human Resource is a key driver of the organization which must be efficient, skilled and competent to perform towards achieving the objective of the organization. With that value the Board has revised the organogram of BIFFL and approved 13 new positions for recruitment. The BIFFL Board and Management also prioritize the continuous development of professional skill, knowledge and expertise of the employees through training, exposure and exchanges.

10. Policies of BIFFL

● Credit Policy

BIFFL has formulated primarily the most important document for its operation - the Credit Policy. It has been approved by BIFFL Board of Directors in its 13th meeting held on 18th September, 2013 and continually updated as per need. It has specified areas and guidelines for large, medium and small scale investments. The credit policy covers the credit strategy for investment, eligible criteria for investment, financing limits, security

parameters for Loan, Fees and others. The Board in its 28th meeting held on August 10, 2015 has revised the Credit Policy. Major changes are inclusion of:

- i) Security Package;
- ii) Different financing products;
- iii) Nature of loan;
- iv) Increased Financing limits;
- v) Revised Interest rate; and
- vi) Renewable Energy & Eco-friendly projects.

• Core Risk Policies

The Board in its 25th meeting held on May 17, 2015 has approved Core Risk Policies comprising Asset-Liability Management, Internal Control and Compliance Management, Anti Money Laundering and Terrorist Financing Policy and Information and Communication Technology Policy.

• Human Resource Policy

BIFFL Management has been working to formulate the Human Resource (HR) Policy for the organization. The Board has already assigned the Executive Committee to review and examine the policy. After approval of that policy, the Management will organize a workshop for employee awareness and adoption of that policy.

11. Shareholding Structure

Particulars	Number of shares held as of 31 December			
	2014	2013	2012	2011
Finance Division, Ministry of Finance	159,999,984	159,999,984	159,999,984	159,999,984
Senior Secretary, Finance Division, Ministry of Finance	10	10	10	10
Secretary, Prime Minister's Office	1	1	1	1
Secretary, Power Division, Ministry of Power Energy and Mineral Resources	1	1	1	1
Secretary, Energy & Mineral Resources Division, Ministry of Power, Energy & Mineral Resources	1	1	1	1
Secretary, Road Transport & Highways Division, Ministry of Road Transport & Bridges.	1	1	1	1
Secretary, Bridges Division, Ministry of Road Transport & Bridges.	1	1	1	1
Additional Secretary, Finance Division (TDM) Ministry of Finance	1	1	1	1

12. Board of Directors

The Board of Directors of BIFFL comprises eight members. Seven members are nominated from different Ministries of the Government and another is the Executive Director & CEO, the ex-officio member of the Board.

As per Articles of Association of the company [clause -101] the Chief Executive Officer (CEO) is to conduct the day to day business of the company and discharge his duties and responsibilities under the overall supervision of the Board

During the period of the year 2014, the change of Directors was as follows:

In order of the date of joining:

SL	Name	Designation	Date of 1st Appointment	Date of Last Appointment / Re Appointment	Remarks
1	Mr. Md. Mozammel Haque Khan	Director	21-Mar-11	8-May-13	Ceased on 19 Aug-2014
2	Mr. Md. Abul Kalam Azad	Director	21-Mar-11	10-Feb-14	Ceased on 11 Apr 2015
3	Mr. A.R.M. Nazmus Sakib	Director	3-Nov-11	31-Jul-12	Continuing...
4	Mr. M. A. N. Siddique	Director	15-Dec-11	14-Sep-14	Retired in the 3rd AGM & reelected
5	Khandker Anwarul Islam	Director	15-Dec-11	14-Sep-14	Retired in the 3rd AGM & reelected
6	Mr. Fazle Kabir	Chairman & Director	8-Oct-12	-	Ceased on 19 Aug-2104
7	Mr. Monowar Islam,ndc	Director	8-May-13	14-Sep-14	Retired in the 3rd AGM & reelected
8	Mr. Mahbub Ahmed	Chairman & Director	19-Aug-14	19-Aug-14	Continuing...
9	Mr. Md. Abubakar Siddique	Director	19-Aug-14	19-Aug-14	Continuing..
10	Mr. Atiquzzaman	Executive Director	01-Feb-12	-	Ceased on 31 Jan-2015
11	Ms. Suraiya Begum, ndc	Director	11-Apr-15	-	Continuing...
12	Mr. S.M. Formanul Islam	Executive Director	1-Jun-15	-	Continuing...

13. Board Meeting and Attendance

During the period of the year 2014, six nos of Board meetings were held. The attendances of Board of Directors in those meeting are as follows:

SI	Directors	No of Meeting	Remarks
1	Mr. Fazle Kabir	3	Ceased on-19-Aug-14
2	Mr. Mahbub Ahmed	4	Existing
3	Mr. Md. Abul Kalam Azad	5	Ceased on-11 Apr-15
4	Mr. Md. Mozammel Haque Khan	3	Ceased on-19 Aug-14
5	Mr. Monowar Islam,ndc	6	Existing
5	Mr. M. A. N. Siddique	5	Existing
6	Md. Abubakar Siddique	4	Existing
8	Mr. Khandker Anwarul Islam	5	Existing
9	Mr. A.R.M Nazmus Sakib	6	Existing
10	Mr. Md. Atiquzzaman	6	Ceased on 31 Jan-2015

14. Board Committee

The Board of Directors constituted two committees i.e. the Executive Committee, and the Audit Committee as sub-committees of the Board consisting different Board members vide Board Meeting dated on 19 August, 2014. The Board also noted formation of different committees like Management Committee, Risk Management Forum, Core Risk Committee, Purchase Committee, Tender Evaluation Committee etc.

Sl	Name of Director	Designation	Date of Joining / Nomination
1	Mr. A.R.M. Nazmus Sakib	Director	31 Jul 2012
2	Mr. Mahbub Ahmed	Chairman & Director	19 Aug 2014
3	Mr. Md. Abubakar Siddique	Director	19 Aug 2014

15. Appointment of External Auditors

The Existing Auditors of the Company, M/S. S. F. AHMED & CO (SFACO), Chartered Accountant will retire in the 4th Annual General Meeting. SFACO was appointed as Auditor in the 3rd Annual General Meeting held on 14th of September 2014 with effect till the Completion of 4th Annual General Meeting. The remuneration of Auditors is BDT 50,000/- (Excl. VAT) for the year 2014.

Notably, M/S S.F. Ahmed & Co. has submitted their expression of interest (EOI) to be reappointed for the year 2015 with the Audit fee of Tk. 60,000/- (excl. VAT). They may be appointed for Financial year 2015 subject to the approval of the shareholders of BIFFL in the 4th Annual General Meeting.

16. Regulatory Compliance

BIFFL has complied with all rules, regulation of regulators such as RJSC, Bangladesh Bank etc. in the year 2014.

17. Corporate Governance

BIFFL has been trying to maintain corporate governance in every aspect of its operation. Besides, the Board emphasizes on transparency, accountabilities and fairness. A separate detailed report on Corporate Governance is included as part of the Annual Report.

18. Dividend Declaration

The Board of Directors of BIFFL in its 27th Meeting held on 9 July 2015 decided that-

An amount of BDT 100.00 million out of BDT 3,547.41million of retained earnings shall be paid as the cash dividend to the Government against the shareholdings subject to the Shareholder's approval in the 4th Annual General Meeting. An amount of BDT 3,400.00 million out of BDT 3,547.41million of retained earning shall be utilized for increasing Company's Paid Up Capital from BDT 16,000.00 million to BDT 19,400.00 million through issuing Bonus Shares as Dividend to the Government against the shareholdings subject to the Shareholder's approval in the 4th Annual General Meeting.

The retained amount of BDT 47.40 million shall be carried forward as retained earnings to the FY-2015.

Under section 184 of the Companies Act 1994

We Report that:

1. The Financial Statements prepared by the Management of the company presents the Company's State of Affairs, Cash Flows and Changes in Equity.
2. Proper Books of Accounts of the Company are maintained.
3. Appropriate Accounting Policies have been consistently applied in preparation of the Financial Statements and the accounting estimates are based on the reasonable and prudent judgment.
4. International Accounting Standard (IAS), as applicable in Bangladesh, has been followed in preparation of the Financial Statements and any departure there has been adequately disclosed.
5. The system of financial control is sound in design and has been effectively implemented and monitored.
6. There is no significant doubt upon the company's ability to continue as Going Concern.
7. The key operating and financial data for the last 04 years at a glance is given.
8. The Board has recommended dividend for the year 2014.
9. During the year 2014 (as on 31st December) the Board of Directors held six (06) Meetings and the Directors have served the Board attending almost 100 percent.
10. The pattern of share holding of BIFFL is 100% Govt. owned as on 31st December, 2014.

Acknowledgement

The Members of the Board of Directors would like to take this opportunity to express their heartfelt thanks to all shareholders and also the other stakeholders such as Regulatory Bodies, Auditors, Client & Customers, Banks and Financial Institutions, Employees & Staffs, Business Associates for their immense support and contribution towards the success of the Company.

On behalf of the Board of Directors



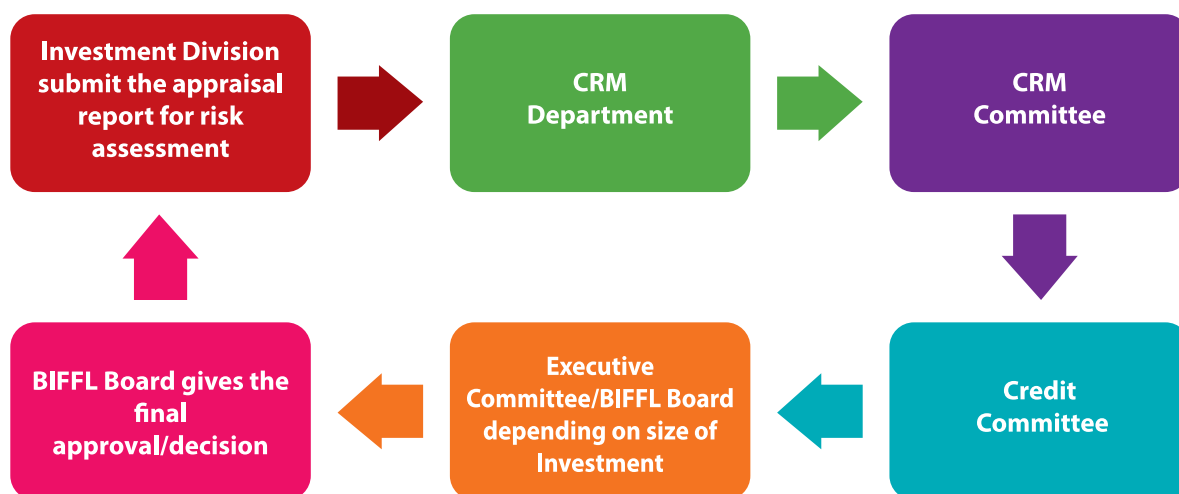
Mahbub Ahmed
Chairman

Statement of Risk Management

A well structured and proactive risk management system is in place within BIFFL to address risks relating to credit, market, liquidity and operations. The company has different committees for risk management and appropriate internal control measures are also in place to mitigate risk. The governance of risk management starts with our Board, which plays an important role in reviewing and approving risk management policies and practices. In addition to embracing the industry best practices for assessing, identifying and measuring risk, BIFFL's Board has passed core risk management policies as per guidelines of managing Core Risks of Financial Institutions issued by the Bangladesh Bank vide FID Circular Number 10 dated September 18, 2005.

Credit Approval Process

BIFFL Board of Directors has the overall responsibility for management of risks. The Credit Committee, on the other hand, is a subcommittee including CEO and senior management of BIFFL. In general, all credit proposals are originated from the investment department of BIFFL. The Credit Risk Management team conducts a thorough credit and risk assessment prior to forwarding the proposal to the Credit Committee. To ensure prompt and accurate service and mitigation of credit risk, the credit approval process is now two stages depending on the size of the loan which are Executive Committee and BIFFL Board. The Executive Committee (EC) is a committee including CEO and selected members of the Board of Directors. EC approves the credit proposal within their delegated authority after recommendation/review of Credit Committee. Credit proposal which is beyond delegated authority of EC is submitted to the Board of Directors for approval.



Flow Chart: Credit Approval Process

BIFFL believes in diversification in terms of products and sectors. Sector allocation has already been passed by the Board of Directors of BIFFL to overcome any adverse impact on the BIFFL's return. According to risk return criteria, a risk based pricing model is followed at BIFFL. This automatically provides asking price for a particular customer/project depending on the project type, repayment capability, tenure of the Loan, risk grading of the project and prevailing market/economic condition of the country vis-a-vis the world.

BIFFL Risk Management Framework

BIFFL is a highly dedicated Financial Institution in Bangladesh adopting the internationally accepted best practices keeping high the ethical values and maintaining transparency in all activities. BIFFL believes in sustainable growth which is ensured through appropriate tradeoff between risk and return. In addition, BIFFL's Board has approved policies of core risk management as per guidelines for managing core risks of financial institutions issued by Bangladesh Bank vide BFID Circular No. 10 dated September 18, 2005.

In compliance with the DFIM Circular dated April 07, 2013 issued by the DFIM of Bangladesh Bank, BIFFL management has formed the "Risk Management Forum" and "Risk Analysis Unit" in order to manage all the risks in a prudent and organized way.

An overview of BIFFL risk management process is depicted through the following flow chart:



Disclosures on

Capital Adequacy and Market

Minimum Capital Requirement (MCR) under prudential Guidelines on Capital Adequacy and market Discipline for Financial Institutions (CAMD)

TABLE A		(In BDT Crore)
SL	Particulars	2014
A.	Eligible Capital (Table B)	
1	Tier-1 Capital	2057.74
2	Tier – Capital	0.99
3	Total Eligible Capital	2058.73
B.	Total Risk Weighted Assets (Table C)	1,580.88
C.	Capital Adequacy Ratio (CAR) (A3/B)*100	130.23
D.	Core Capital to RWA (A1/B)*100	130.16
E.	Supplementary Capital to RWA (A2/B)*100	0.06
F.	Minimum Capital Requirement (MCR)	158.09

Eligible Capital

TABLE B		(In BDT Crore)
SL	Particulars	2014
1	Tier-1 (Core Capital)	
1.1	Fully Paid up Capital/ Capital lien with BB	1600.00
1.2	Statutory Reserve	60.00
1.3	Retained earnings	397.00
1.4	Minority Interest in Subsidiaries	-
1.5	Sub – Total (1.1 to 1.4)	2,058.00
1.6	Deduction from Tier – 1 (Core Capital)	-
1.7	Total Eligible Tier-1 Capital (1.5-1.6)	2,058.00
2.	Tier – 2 (Supplimentary Capital)	
2.1	General Provision	0.99
2.2	Asset Revaluation Reserves up to 50%	-
2.3	Sub – Total (2.1 to 2.2)	0.99
2.4	Deductions if any	-
2.4	Total Eligible Tier-2 Capital (2.3-2.4)	0.99

Risk Weighted Assets (RWA)

TABLE C		(In BDT Crore)
SL	Particulars	2014
1	Credit Risk :	1,222.55
1.1	On-Balance Sheet	1,222.55
1.2	Off-Balance Sheet	-
1.3	Market Risk	-
1.4	Operational Risk	358.33
1.5	Total Risk Weighted Assets	1,580.88

Stress testing process

Financial institutions across the world are increasingly employing sophisticated techniques for managing risks. Stress Testing, as defined by Bank for International Settlement (BIS) is such a risk management technique used to evaluate the potential effects on an institution's financial condition of a specific event or movement in a set of financial variables. Stress-test rating scale of 1 to 5 and zone positioning (green, yellow and red) through weighted Average Resilience (WAR) and Weighted Insolvency Ratio (WIR) matrix will be introduced. Rating at number 1 will indicate green zone (better), at numbers 2 and 3, yellow zones (good) and at numbers 4 and 5, red zone (bad). BIFFL still continuing as **Rated Number 1** as well as being in **Green Zone** as per Bangladesh Bank Stress Testing.

Sustainability

Value Added Statement

A value added statement shows how much wealth has been created by an enterprise through utilization of its capacity, capital, manpower and other resources, and how it is allocated among different stakeholders (employees, lenders, shareholders, government etc.) in an accounting year. BIFFL contributes positively to socioeconomic development by empowering employees through the payment of salaries and allowances, by paying attractive and consistent dividend to the providers of the capital, by assisting the regulatory capacities through paying taxes and keeping in mind the company's continuous expansion and growth.

(Figures in BDT Crore)	<u>2014</u>	<u>2013</u>
Value added		
Net interest income	6.39	-
Fees earned	0.44	-
Investment Income	-	-
Other Income	269.40	225.72
Management Expenses	3.27	3.81
Provision for doubtful losses	1.03	-
Total value Added by BIFFL	280.53	229.53

Value addition contributed to:

Employees:

As Salaries and Allowance	1.79	0.85
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Government:

Corporate Tax	129.67	94.31
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To Expansion and Growth:

Retained earnings	113.33	102.08
Depreciation	0.25	0.24

Contribution to National Economy

Business has a major impact on society. Whatever we do in business, we know that we are making a difference. We happen to contribute through our payments of tax, VAT, levy, excise duty, surcharge, etc. savings development, creating employment, development in the SME and green banking sector, donation to the government fund, contribution in CSR, implementation of government policies, contribution to the national yearly budget etc. some of which are presented in the table below:

Area	Our contribution
National Growth	Helping in investing in the infrastructure development projects which are long term in nature. Thus boosting the national GDP growth is a major priority of BIFFL. Based on the financials as on 31 December 2014, BIFFL has total credit exposure with around Tk. 1033 million. Such facilities were extended mostly for imports of capital machineries, construction, infrastructure development, green financing etc.
Industrialization	Industrialization which endeavors facilitation of production through term loan and green finance.
Employment	Generation of employment through industrialization and business development. We also make an economic impact by creating employment and a well-trained workforce.
National Budget	We, as a corporate body, contribute to the economy by paying out fair share of taxes, VAT, Supplementary Duty (SD), source taxes etc. to the Government. During the year 2014, the Company paid Tk. 1296.7 million for taxes.
CSR and Donation	Committed to social responsibility amid donation, sponsorship and supporting helpless people and social causes. We have donated Tk. 50 million in the fund for building the Liberation War Museum.
Shareholder's Value	We recognize our fiduciary duty to our shareholders and seek to establish constructive relationships. We are focused on maximizing long-term shareholders' value through strong financial performance and returns, disciplined and profitable investments.
Commitment to protect Environment	We believe that sustainable economic growth and a healthy environment are inter-linked. We take supportive role in terms of providing financial services by restricting and discouraging those projects that cause pollution for environment and health hazard.

At the outset it can be demonstrated that as a corporate participant, we recognize that we have responsibilities to the development of the society and the country as a whole. We are focusing ourselves to be positioned as an institution that builds enduring relationship with and delivers value for our clients, shareholders, employees and the community where we work, where we live.

Report on Green Banking 2014

Green Banking means promoting environment-friendly practices and reducing carbon footprints from financial activities. Financial Institutes around the world have taken initiatives to integrate environmental measures in their activities, especially stopping lending to high pollution and high energy consuming industries while facilitating financial support to greener industries.

BIFFL is committed to build a better Bangladesh through investing in Infrastructures. We believe in Green Partnership with all our stakeholders. It is our commitment to make a greener and more livable world. Philosophy underlying BIFFL's Green Banking initiatives are:

- To ensure better environment and ecological balance for our future and a healthy, clean & green future of Bangladesh.
- Improve image and goodwill of the company by being socially responsive
- Reduce operational costs due to less consumption of office stationeries, energy and water
- Reduce possible health hazards by installing eco-friendly equipment
- Help develop customer consciousness on environment by driving the environmentally responsible finance measures and arranging awareness development programs
- No investments at the cost of environment

As per Bangladesh Bank Guidelines, updated and detailed information about the company's environmental activities and performances of major clients should be disclosed. In line with that we are publishing our Green Banking Activities for 2014:

- 1. Green Banking Policy Formulation:** Green Banking Policy' has been adopted by the Board of Directors of BIFFL in the 19th Board Meeting of BIFFL, held in 14th September 2014. It is prepared in accordance with the Bangladesh Bank Green Banking and Corporate Social Responsibility Department Circular No. 4, dated August 11, 2013. It issues an action plan for implementing an efficient Green Banking Framework implementable in the industry which will be executed in 3 (three) phases.
- 2. Green Governance:** A 'Green Banking Unit' (GBU) has been formed under the Green Banking Policy, approved by 19th Board Meeting of BIFFL, held in 14th September 2014. The required Office Order was circulated in 21st September 2014.
- 3. Incorporation of Environmental Risk in CRM:** BIFFL has incorporated Environmental and Climate Change Risk as part of the existing overall credit risk methodology according to the Environmental Risk Management (ERM) Guideline of BB.
- 4. In-house Environment Management:** Green Office Guide has been adopted to maintain in-house environment management in the 19th Board Meeting of BIFFL, held on the 14th of September 2014. The Guide directs the BIFFL employees to maintain its in-house environment by saving energy, water & paper reducing wastage, practicing fuel and energy efficient equipment procurement and raising further awareness among employees and customers by circulating more relevant information among them. In total, by practicing 3R - Reduce, Re-use and Recycle - within the organization.

5. Formulation of BIFFL Specific Environmental Risk Management Plan and Guidelines:

BIFFL has devised its own environment risk management guideline named "Environmental Social Monitoring Framework" (ESMF). This is the environmental risk management manual for their assessment and monitoring of project loans. In addition to the compliance of national regulation, the organization has set some internationally accepted higher environmental standards.

6. Green Finance:

Eco friendly business activities and energy efficient industries will be given preference in BIFFL financing. Environmental infrastructure such as renewable energy projects, clean technology projects, waste treatment plant, solid and hazardous waste disposal plant, auto bricks manufacturing plants, energy efficiency programs etc. will be encouraged and financed.

7. Creation of Climate Risk Fund:

BIFFL will finance the economic activities of the flood, cyclone and drought prone areas at the regular interest rate without charging additional risk premium. This will be used in case of emergency. BIFFL would also ensure regular financing flows in these vulnerable areas and sectors. The fund will be created as part of its CSR expenditures.

8. Supporting Employee Training, Consumer Awareness and Green Event:

BIFFL has provided green finance trainings to its 3 officials in 2 different programs in FY 2014. Training on employee awareness development, environmental and social risk and the relevant issues will be a continuous process as part of BIFFL's Human Resource Development. Also awareness development among consumers and clients would be a continuous job of BIFFL under its public relation department.

9. Sector Specific Environmental Policies:

Strategies will be formulated to design specific policies for different environmental sensitive sectors.

10. Green Strategic Planning:

BIFFL is going to set green targets to be attained through strategic planning. The targets will be achievable and socially responsible.

Report on Corporate Social Responsibility

Forward-thinking companies understand that corporate social responsibility (CSR) is not only about "doing good". Rather, a well-designed CSR program increases the significance of the business itself, by not only creating improved conditions for the community as a whole, but also supporting the growth of successful business activities. In today's market place, well-organized, well executed CSR activities are critical factors in driving business improvement, brand engagement, customer loyalty and employee retention. Bangladesh Infrastructure Finance Fund Limited (BIFFL) pays close attention to the CSR trend since BIFFL considers it as successful marketing effort. Although BIFFL is still formulating outline for CSR activities but eventually it will engage with rigorous CSR in near future due to emerging significance of it worldwide for sustainable business growth. As CSR, BIFFL donated Tk. 0.50 million in the fund for building the Liberation War Museum in 2014. CSR activities of BIFFL are to be organized in future according to CSR budget and in line with its core objectives.

Human Resources & Organogram

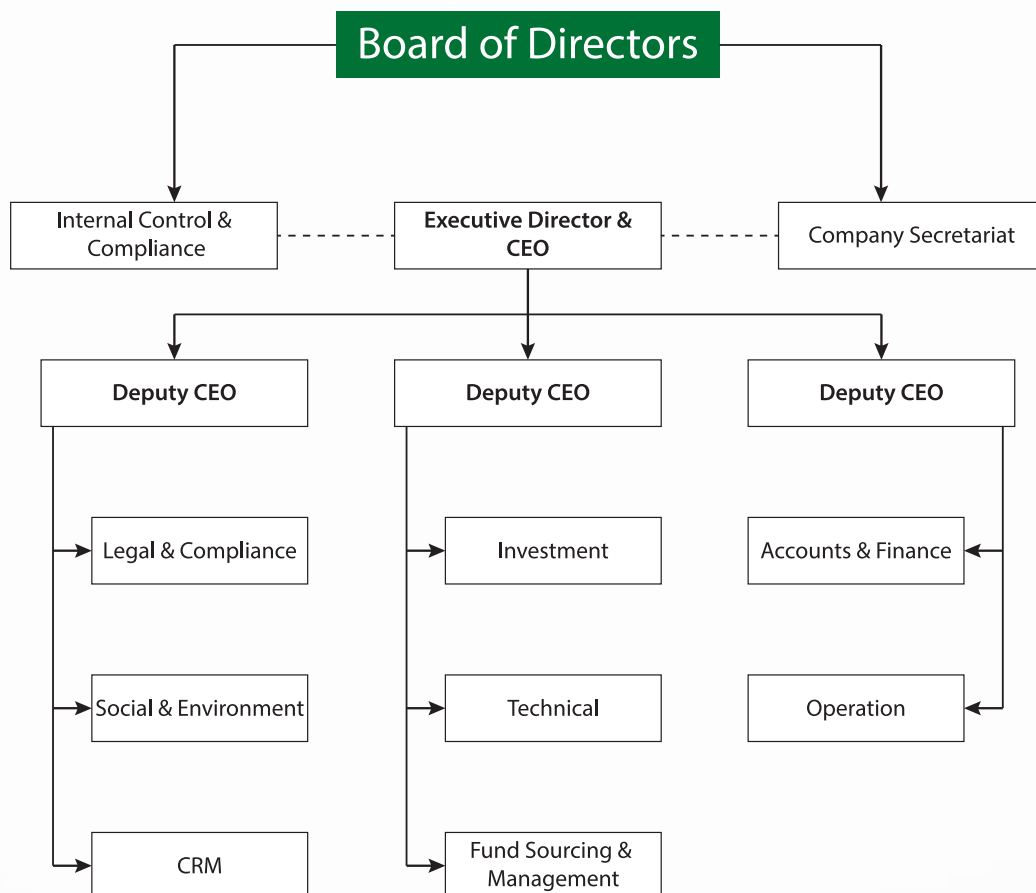
At BIFFL We believe the following values at work:

- Team work
- Target oriented
- Zero tolerance on corruption and sexual harassment
- Honesty and integrity
- Transparency and accountability
- Professionalism and creativity at all aspects

Our compensation package is one of the key drivers for recruitment and retention of talented people. We provide a balanced mix of salary, festival bonus, performance bonus, provident fund, gratuity, group life and hospitalization benefit. Since inception of BIFFL, we recruited and retained people for respective division commensurate with its functional activities for achieving the objective of the organization. Presently, there are 23 employees and support staff and the management of BIFFL is going to recruit 13 new positions for different functional units and divisions very soon.

Master Organogram of BIFFL

The Board in its 28th meeting held on August 10, 2015 has approved the revised master organogram of BIFFL. Master Organogram of BIFFL depicts functional activities for achieving the objectives of the organization.



Report on Corporate Governance

BIFFL is committed to build up its corporate governance status and continually reviewing all the policies and practices to ensure ongoing transparency of its practices and delivery of high standards and quality information to the stakeholders.

BIFFL is very much cautious of the regulations to maintain and comply with the prevailing Companies Act, Rules- Regulations and Directions. In continuation of that a report on Corporate Governance and compliance is stated below-

Board of Directors

The Board of Directors is collectively responsible for proper governance, which includes setting out the Company's strategic aims, providing the necessary leadership to implement such aims, supervising the management of the business and reporting to shareholders on their stewardship. The Board also is responsible to the shareholders for the overall management and performance of the company.

During the year-2014, Six nos of Meetings were held by the Board of Directors with more than 90% presence of the members.

Apart from the Board's Executive Committee and Audit Committee, other Committees are as follows:

Management Committee (MANCOM)

- | | | |
|----|--|--------------------|
| 1. | Mr. S.M. Formanul Islam
Executive Director and CEO | -Chairman |
| 2. | Mr. Md. Sagir Hossain Khan
GM (Investment) | -Member; |
| 3. | Mr. Mohammad M. Khan
Company Secretary | -Member Secretary; |
| 4. | Mr. Mohammad Shahidul Islam
Manager (Credit) | -Member; |
| 5. | Mr. Nisarul Kabir Siddiqui
Sr. Officer (A&F) | - Member |

Asset Liability Committee (ALCO)

- | | | |
|----|--|--------------------|
| 1. | Mr. S.M. Formanul Islam
Executive Director and CEO | -Chairman |
| 2. | Mr. Md. Sagir Hossain Khan
GM (Investment) | -Member |
| 3. | Mr. Nisarul Kabir Siddiqui
Sr. Officer (A&F) | - Member Secretary |

Risk management Committee

A. Risk Management Forum (RMF):

- | | | |
|----|--|--|
| 1. | Mr. Mohammad Sagir Hossain Khan
GM (Investment) | - Convener (Representing CRO & Head of Credit) |
| 2. | Mr. Mohammad M. Khan
Company Secretary | - Member (Representing Company Affairs / Operations) |
| 3. | Mr. Md. Nisarul Kabir Siddiqui
Senior Officer (A&F) | -Member (Representing Accounts & Finance) |
| 4. | Mr. Md. Abu Sayed Siddique
Sr. Officer (Legal & Comp.) | - Member (Representing Legal Affairs) |
| 5. | Mr. Md. Mohabul Alam
IT Officer | - Member-Secretary(Representing IT & MIS) |

B. Risk Analysis Unit (RAU):

The RAU will consist of the following officials:

- | | | |
|----|--|--------------------|
| 1) | Mr. Mohammad Shahidul Islam
Manager (Credit) | -Chairman |
| 2) | Mr. Sheikh Anowar Sadat
Assistant Manager (Credit Appraisal) | - Member |
| 3) | Mr. Md. Mizanur Rahman
Assistant Manager (Credit Monitoring) | - Member |
| 4) | Ms. Rajina Rashid
Officer (Financial Planning & Control) | - Member-Secretary |

Recruitment Committee:

Not in the order of seniority

- | | | |
|----|---|------------|
| 1) | Mr. A. R. M. Nazmus Sakib
Additional Secretary, Finance Division, MoF & Director, BIFFL Board. | - Chairman |
| 2) | Mr. S.M. Formanul Islam
Executive Directors & CEO, BIFFL | - Member |
| 3) | Mr. Md. Faruque Hossain
Director General, CPTU | - Member |
| 4) | Mr. Md. Shah Alam
General Manager
Department of Financial Institutions & Markets (DFIM) Bangladesh Bank. | - Member |
| 5) | Dr. Md. Nazrul Anowar
Additional Secretary, Ministry of Textile & Jute | - Member |

Anti- Money Laundering Unit

- | | | |
|----|---|--------------------|
| 1. | Mr. Mohammad M. Khan
Company Secretary | -CAMLCO |
| 2. | Mr. Md. Mizanur Rahman
Assistant Manager, Credit Monitoring | -Member |
| 3. | Mr. Abu Sayeed Siddiqui
Sr. Officer, Legal | -Member |
| 4. | Mr. Mohabul Alam
Officer (IT) | - Member |
| 5. | Ms. Rajina Rashid
Officer (A&F) | - Member Secretary |

Integrity Committee

- | | | |
|----|--|-------------------|
| 1. | Mr. Md. Sagir Hossain Khan
GM (Investment) | - Chairman |
| 2. | Mr. Mohammad M. Khan
Company Secretary | -Member Secretary |
| 3. | Mr. Nisarul Kabir Siddiqui
Sr. Officer (A&F) | - Member |
| 4. | Mr. Abu Sayeed Siddiqui
Sr. Officer, Legal | -Member |
| 5. | Mr. Mohabul Alam
Officer (IT) | - Member |

Credit Risk Management Committee

- | | | |
|----|--|--------------------|
| 1. | Mr. Mohammad Sagir Hossain Khan
General Manager (Investment) | -Chairman |
| 2. | Mr. Mohammad Shahidul Islam
Manager (Credit) | - Member |
| 3. | Mr. Sheikh Anowar Sadat
Assistant Manager (Credit Appraisal) | - Member |
| 4. | Mr. Md. Mizanur Rahman
Assistant Manager, Credit Monitoring | -Member |
| 5. | Mr. Md. Saddam Hossain
Officer (Renewable Energy) | - Member Secretary |

Credit Committee

- | | | |
|----|--|-------------------|
| 1. | Mr. S.M. Formanul Islam
Executive Director and CEO | -Chairman |
| 2. | Mr. Mohammad Sagir Hossain Khan
General Manager (Investment) | -Chairman |
| 3. | Mr. Mohammad Shahidul Islam
Manager (Credit) | - Member |
| 4. | Mr. Md. Mizanur Rahman
Assistant Manager, Credit Monitoring | -Member Secretary |

Green Banking Unit

- | | | |
|----|---|--------------------|
| 1. | Mr. Mohammad Sagir Hossain Khan
General Manager (Investment) | -Chairman |
| 2. | Mr. Mohammad Shahidul Islam
Manager (Credit) | - Member |
| 3. | Mr. Sheikh Anowar Sadat
Assistant Manager (Credit Appraisal) | - Member |
| 4. | Mr. Shafiqul Islam Proadhan
Senior Officer (Credit Technical) | - Member |
| 5. | Ms. Rabeya Rahman
Officer (Accounts & Finance), | - Member |
| 6. | Mr. Md. Mohabul Alam
Officer (IT) | - Member |
| 7. | Mr. Md. Saddam Hossain
Officer (Renewable Energy) | - Member Secretary |

Auditor's Report & Financial Statements





S F AHMED & CO.
Chartered Accountants
Since-1958

House 51 (2nd Floor),
Road 09, Block F, Banani,
Dhaka 1213, Bangladesh

AUDITORS' REPORT TO THE SHAREHOLDERS OF BANGLADESH INFRASTRUCTURE FINANCE FUND LIMITED (BIFFL)

Report on the Financial Statements

We have audited the accompanying financial statements of Bangladesh Infrastructure Finance Fund Limited (BIFFL) which comprise the statement of financial position (Balance Sheet) as at 31 December 2014 and the statement of comprehensive income (Profit & Loss Account), statements of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements of the company in accordance with Bangladesh Financial Reporting Standards (BFRS), Financial Institutions Act 1993, the rules and regulations issued by the Bangladesh Bank, the Companies Act 1994, the Securities and Exchanges Rules 1987 and other applicable laws and regulations. This responsibility includes designing, implementing, and maintaining internal control relevant to the preparation and fair presentation of these financial statement of the company that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditors' Responsibility

Our responsibility is to express an opinion on the financial statements of the company based on our audit. We conducted our audit in accordance with Bangladesh Standards on Auditing (BSA). Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements of the company are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements of the company. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the company, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements of the company in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements of the company.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion:

In our opinion, the financial statements of the company prepared in accordance with Bangladesh Financial Reporting Standards (BFRSs), give a true and fair view of the state of the Financial Position of the company as at 31 December 2014 and of the results of its financial performance and statement of cash flows for the year then ended and comply with the Financial Institutions Act 1993, The Company's Act 1994, the rules and regulations issued by the Bangladesh Bank, the Securities and Exchanges Rules 1987 and other applicable laws and regulations.

Report on Other Legal and Regulatory Requirements:

In accordance with companies Act 1994, Securities and Exchange Rules 1987, the Financial Institutions Act 1993 as amended in 2013 and the rules and regulations issued by Bangladesh Bank, we also report the following:

- (i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit and made due verification thereof;
- (ii) in our opinion, proper books of account as required by law have been kept by the Company so far as it appeared from our examination of those books;
- (iii) the statement of financial position (Balance Sheet) and statement of comprehensive income (Profit and Loss Account) together with the annexed notes 1 to 44 dealt with by the report are in agreement with the books of account and returns;
- (iv) the expenditure incurred was for the purpose of the company business;
- (v) the financial position of the company as at 31 December 2014 and the profit for the year then ended have been properly reflected in the financial statements and the financial statements have been drawn up in conformity with the Financial Institutions Act, 1993 and in accordance with the accounting rules and regulations issued by the Bangladesh Bank;
- (vi) the financial statements conform to the prescribed standards set in the accounting regulations issued by the Bangladesh Bank after consultation with the professional accounting bodies of Bangladesh;
- (vii) adequate provisions have been made for advances and other assets which are, in our opinion doubtful of recovery;
- (viii) the information and explanations required by us have been received and found satisfactory;
- (ix) the BIFFL has no branches;
- (x) 80% of the risk-weighted assets have been audited;
- (xi) we have spent approximately 520 man hours for the audit of books & accounts of BIFFL.

Dated, Dhaka;
31 March 2015

S. F. Ahmed & Co.

S.F. Ahmed & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Ltd.
Statement of Financial Position
As at December 31, 2014

	Notes	Amount in Taka	
		2014	2013
PROPERTY AND ASSETS			
Cash	3	47,017,854	32,190
In hand (including foreign currencies)		17,854	22,807
Balance with Bangladesh Bank and its agents (including foreign currencies)		47,000,000	9,383
Balance with other banks and financial institutions	4	19,904,145,628	20,699,878,982
In Bangladesh		19,904,145,628	20,699,878,982
Outside Bangladesh		-	-
Money at call and short notice	5	-	-
Investments	6	-	-
Government		-	-
Others		-	-
Leases, loans and advances	7	1,033,064,192	-
Bills Purchased and discounted	8	-	-
Fixed assets including premises, furniture and fixtures	9	6,304,420	7,089,588
Other assets	10	1,557,002,813	541,757,984
Non-business assets	11	-	-
Total assets		22,547,534,907	21,248,758,744
LIABILITIES AND CAPITAL			
Liabilities			
Borrowings from banks, other financial institutions and agents	12	-	-
Deposits and other accounts	13	-	-
Current deposits		-	-
Bills payable		-	-
Savings deposits		-	-
Term deposits		-	-
Bearer certificate of deposit		-	-
Other deposits		-	-
Other liabilities	14	2,113,276,818	2,231,179,079
Total Liabilities		2,113,276,818	2,231,179,079
Capital / Shareholders' Equity		20,434,258,089	19,017,579,665
Paid up capital	15	16,000,000,000	16,000,000,000
Share premium	16	-	-
Statutory reserve	17	886,851,618	603,515,933
Other reserve	18	-	-
Retained earnings:	19	3,547,406,471	2,414,063,732
Total liabilities and Shareholders' equity		22,547,534,907	21,248,758,744

Bangladesh Infrastructure Finance Fund Ltd.
Statement of Financial Position
As at December 31, 2014

OFF-BALANCE SHEET ITEMS :

Notes	Amount in Taka	
	2014	2013

Contingent liabilities

Acceptances and endorsements

Letter of guarantee

Irrevocable letter of credit

Bills for collection

Other contingent liabilities

	-	-
	-	-
	-	-
	-	-
	-	-
	-	-

Other commitments

Documentary credits and short term trade and related transactions

Forward assets purchased and forward deposits placed

Undrawn note issuance and revolving underwriting facilities

Undrawn formal standby facilities, credit lines and other commitments

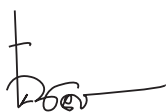
Others

	-	-
	-	-
	-	-
	-	-
	-	-
	-	-

Total off-balance sheet items including contingent liabilities

	-	-
	-	-

The annexed notes form an integral part of these financial statements.



Executive Director & CEO



Director



Company Secretary

Signed in terms of our separate report of even date annexed.

Dated, Dhaka
31 March 2015

S. F. Ahmed & Co.
S. F. Ahmed & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Ltd.
Statements of Comprehensive Income
For the year ended December 31, 2014

	Notes	Amount in Taka	
		2014	2013
Interest income from leases, loans and advances	21	63,961,291	-
Interest expenses on borrowings, deposits, etc	22	1,482,452	-
Net interest income		62,478,839	-
Investment income	23	-	-
Commission, exchange and brokerage		-	-
Other operating income	24	2,693,956,201	2,257,274,260
Total operating income		2,756,435,040	2,257,274,260
Salary and allowances	25	11,863,677	4,511,542
Rent, taxes, insurance, electricity, etc.	26	429,955	478,906
Legal expenses	27	298,139	-
Postage, stamp, telecommunication, etc.	28	447,449	224,751
Stationery, printing, advertisements, etc.	29	3,551,069	935,112
Managing Director's salary and allowances	30	6,082,052	3,981,565
Directors' fees	31	211,000	117,000
Audit fees	32	57,500	57,500
Depreciation and repairs of company's assets	33	5,390,694	3,924,763
Other operating expenses	34	4,375,151	23,940,784
Total operating expenses		32,706,686	38,171,923
Profit before provision		2,723,728,354	2,219,102,337
Provision for leases, loans and advances	35	10,330,778	-
Total provision		10,330,778	-
Total profit before income tax		2,713,397,576	2,219,102,337
Provision for income tax	36	1,296,719,152	943,118,493
Net profit after Tax & Provision		1,416,678,424	1,275,983,844
Appropriations:			
Statutory reserve	17	283,335,685	255,196,769
Retained surplus	19	1,133,342,739	1,020,787,075
Earnings per share	37	8.85	7.97

The annexed notes form an integral part of these financial statements.


Executive Director & CEO


Director


Company Secretary

Signed in terms of our separate report of even date annexed.

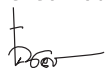
Dated, Dhaka
31 March 2015

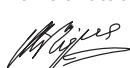

S. F. Ahmed & Co.
Chartered Accountants

Bangladesh Infrastructure Finance Fund Ltd.
Statement of Financial Position
As at December 31, 2014

		Amount in Taka	
		2014	2013
A CASH FLOW FROM OPERATING ACTIVITIES:			
Interest receipts in cash	63,961,291	-	
Interest payments in cash	(1,482,452)	-	
Dividend receipts in cash	-	-	
Cash payments to employees	(17,091,720)	-	
Cash payments to suppliers	(3,998,518)	-	
Income taxes paid	(2,026,194,776)	-	
Receipts from other operating activities	2,693,956,201	2,257,274,260	
Payments for other operating activities	(4,952,133)	(12,707,492)	
Cash generated from operating activities	704,197,893	2,244,566,768	
Increase/(decrease) in operating assets and liabilities, Statutory deposits			
Loans and advances to other banks	-	-	
Loans and advances to other customers	(1,033,064,192)	-	
Other assets	(418,038,668)	(234,157,329)	
Borrowings from Bank	-	-	
Deposits from other banks/borrowings	-	-	
Deposits from customers	-	-	
Other liabilities	(122,500)	-	
	(1,451,225,360)	(234,157,329)	
Net Cash from Operating Activities	(747,027,467)	2,010,409,438	
B CASH FLOW FROM INVESTING ACTIVITIES:			
Purchase of property, plant and equipment	(1,720,223)	(886,081)	
Net cash used in investing activities	(1,720,223)	(886,081)	
C CASH FLOW FROM FINANCING ACTIVITIES:			
Dividend paid	-	-	
Issuance of shares	-	-	
Net cash from financing activities	-	-	
D Net increase/(decrease) in cash and cash equivalents (A+B+C)	(748,747,690)	2,009,523,357	
E Effects of exchange rate changes on cash and cash equivalents	-	-	
F Cash and cash equivalents at beginning of the year	20,699,911,172	18,690,387,815	
G Cash and cash equivalents at end of the year (D+E+F)	19,951,163,482	20,699,911,172	
Cash and cash equivalents			
Cash in hand	17,854	22,807	
Balance with Bangladesh Bank and its agents bank(s)	47,000,000	9,383	
Balance with other banks and financial institutions	19,904,145,628	20,699,878,982	
Money at call and short notice	-	-	
	19,951,163,482	20,699,911,172	

The annexed notes form an integral part of these financial statements.


Executive Director & CEO


Director


Company Secretary

Bangladesh Infrastructure Finance Fund Limited
Statement of Changes in Equity
For the period ended 31 December 2014

Amount in Taka

Particulars	Paid-up Capital	Statutory Reserve	Retained Earnings	Total
Balance as on 1 January, 2014	16,000,000,000	603,515,933	2,414,063,732	19,017,579,665
Changes in accounting policy	-	-	-	-
Restated balance	16,000,000,000	603,515,933	2,414,063,732	19,017,579,665
Surplus/(deficit) on account of revaluation of properties	-	-	-	-
Surplus/(deficit) on account of revaluation of investments	-	-	-	-
Currency translation differences	-	-	-	-
Net gains and losses not recognized in income statement	-	-	-	-
Net profit for the year	-	-	1,416,678,424	1,416,678,424
Dividend (bonus shares)	-	-	-	-
Issue of share capital	-	-	-	-
Appropriations made during the year	-	283,335,685	(283,335,685)	-
Balance as on 31 December 2014	16,000,000,000	886,851,618	3,547,406,471	20,434,258,089

The annexed notes form an integral part of these financial statements.


Executive Director & CEO


Director


Company Secretary

Bangladesh Infrastructure Finance Fund Limited
Liquidity Statement
Asset and Liability Maturity Analysis
as at 31 December 2014

Particulars	Not more than 1 month term	1 to 3 months	3 to 12 months	1 to 5 years	More than 5 years	Total
Assets						
Cash in hand (including balance with Bangladesh Bank and its agents)	47,017,854	-	-	-	-	47,017,854
Balance with other banks and financial institutions	43,198,063	6,752,722,172	13,108,225,393	-	-	19,904,145,628
Money at call on short notice	-	-	-	-	-	-
Investment	-	-	-	-	-	-
Loans and advances	-	25,826,604	77,479,812	490,705,476	439,052,300	1,033,064,192
Fixed assets including land, buildings, furniture and fixtures	-	-	945,663	5,358,757	-	6,304,420
Other assets	105,163,546	313,621,122	1,138,206,670	11,475	-	1,557,002,813
Non banking assets	-	-	-	-	-	-
Total property & assets	195,379,463	7,092,169,898	14,324,857,538	496,075,708	439,052,300	22,547,534,907
Liabilities						
"Borrowing from Bangladesh Bank, other	-	-	-	-	-	-
Deposits	-	-	-	-	-	-
Other accounts	-	-	-	-	-	-
Provision and other liabilities	3,926,525	1,153,507,653	954,988,631	854,009	-	2,113,276,818
Total liabilities	3,926,525	1,153,507,653	954,988,631	854,009	-	2,113,276,818
Net liquidity (gap)/excess	191,452,938	5,938,662,246	13,369,868,906	495,221,699	439,052,300	20,434,258,089

The annexed notes form an integral part of these financial statements.



Executive Director & CEO



Director



Company Secretary

Bangladesh Infrastructure Finance Fund Limited
Notes to the Financial Statements
For the year ended December 31, 2014

1.0 Reporting entity

1.01 Company's profile

Bangladesh Infrastructure Finance Fund Limited (BIFFL) started its journey as a Public Limited Company on 21 March 2011, registered under Company's Act, 1994 (ACT XVIII of 1994). The Authorized Share Capital of the Company is BDT 100.00 (One hundred) billion divided into 1 (one) billion shares of BDT 100.00 each and the Subscribed Share Capital or Paid-up Capital is BDT 16.00 billion. Certificate of Incorporation was issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the Company had commenced from the same date and the Certificate of Commencement of Business was also issued by RJSC. BIFFL has also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-Bank Financial Institution under the Financial Institutions Act, 1993.

Presently, the company has an 8-member Board of Directors. The overall Policy decisions of the Company are vested with the Board of Directors. The Board of Directors of BIFFL includes Secretary, Prime Minister's Office; Secretary, Power Division, MoPEMR; Secretary, Energy & Mineral Resources Division, MoPEMR; Secretary, Road's Division, MoC; Secretary, Bridges Division, MoC; and Additional Secretary, Finance Division, MoF. Secretary, Finance Division, Ministry of Finance is the Chairman of the Board and Executive Director & CEO is an Ex-officer Member.

1.02 Nature of business of the company

The Government of Bangladesh has prioritized PPP program as a key initiative for increasing the investment in infrastructure. In order to create an enabling environment for attracting private investments on a sustainable basis, the Government of Bangladesh (GoB) has also provided keen interest and attention to promote PPP in the country and also taken a series of important measures. As part of it, GoB has established BIFFL under Ministry of Finance (MoF) as a Special Purpose Vehicle (SPV) for financing infrastructure projects in Bangladesh. BIFFL has been designed to serve as conduit for mobilizing domestic and foreign private resources along with the public fund through Private-Public Partnership, popularly known in its short form as 'PPP'.

The main objective of BIFFL is to provide predominantly long-term financing for Infrastructure projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest companies that are implementing infrastructure projects in Bangladesh.

The main goals of the company are to provide long-term capital to critical infrastructure projects in Bangladesh, with a focus on promoting the evolving PPP program; to catalyze co-financing from private capital sources through the comfort of a professional domestic fund entity's presence in an investment; to provide a unique vehicle for capital markets development, by providing a number of avenues to capture domestic and foreign investment within the contexts of a robustly designed and well-governed investment vehicle; and to overcome current limitations on capital markets oversight and governance by creating a self-sustaining 'regulation-by-contract' structure.

BIFFL promotes, encourages and finance private sector investment in all critical infrastructure sectors, but not limited to the Power and Energy, Natural Resource Development, Fertilizer, Transportation System, Port Development, Air & Railway Transportation Projects, Tourism Infrastructure, Telecommunication System, Utility & Environment Management, Green & Renewable Energy Efficient Projects, Social and Industrial Infrastructure Projects, Poverty Alleviation Projects, and Urban & Rural Development Projects.

2.0 Significant accounting policies and basis of preparation of financial statements

2.01 Basis of preparation

The Financial Statements have been prepared on the basis of going concern concept and basically on accrual method under historical cost convention in accordance with Generally Accepted Accounting Principles (GAAP) and after due compliance with International Accounting Standards(IAS)/International Financial Reporting Standards (IFRS) so far adopted in Bangladesh as Bangladesh Accounting Standards (BAS)/Bangladesh Financial Reporting Standards(BFRS) by the Institute of Chartered Accountants of Bangladesh, the Financial Institution Act 1993, the Companies Act 1994 and other applicable laws and regulations.

Statement of compliance

The financial statements of the company have been prepared in accordance with BFRS as adopted by the ICAB and as per the requirements of DFIM circular No. 11 dated December 23, 2009 issued by the Department of Financial Institution and Markets of Bangladesh bank.

The financial institution has departed from those contradictory requirements of BFRSs in order to comply with the rules and regulations of Bangladesh Bank which are disclosed below:

2.01.01 Investments in shares and securities

BFRS:

As per requirements of BAS 39 'Financial Instruments: Recognition and Measurement' investments in shares and securities generally falls either under "at fair value through Profit and Loss Account" or under "available for sale" where any change in the fair value at the year-end is taken to Profit and Loss Account or Revaluation Reserve Account respectively.

Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002 of Bangladesh Bank investments in quoted shares and unquoted shares are revalued at the year end at market price and as per book value of last audited statements of financial position (balance sheet) respectively. Provision should be made for any loss arising from diminution in value of investments.

2.01.02 Provision on loans and advances

BFRS:

As per BAS 39 an entity should start the impairment assessment by considering whether objective evidence of impairment exists for financial assets that are individually significant. For financial assets which are not individually significant, the assessment can be performed on an individual or collective (portfolio) basis.

Bangladesh Bank:

As per FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013 a general provision at 0.25% to 5% under different categories of unclassified loans (good/standard loans) has to be maintained.

2.01.03 Financial instruments - presentation and disclosure

In several cases Bangladesh Bank guidelines categories, recognise, measure and present financial instruments differently from those prescribed in BAS 39. As such some disclosure and presentation requirements of BFRS 7 'Financial Instruments: Disclosures' and BAS 32 'Financial Instruments: Presentation' cannot be made in the accounts.

2.01.04 Financial guarantees

BFRS:

As per BAS 39 financial guarantees are contracts that require an entity to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the terms of a debt instrument. Financial guarantee liabilities are recognised initially at their fair value, and the initial fair value is amortised over the life of the financial guarantee. The financial guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment when a payment under the guarantee has become probable. Financial guarantees are included within other liabilities.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, financial guarantees such as L/C, L/G will be treated as off balance sheet items. No liability is recognised for the guarantee except the cash margin.

2.01.05 Cash and cash equivalents

BFRS:

Cash and cash equivalents items should be reported as cash item as per BAS 7 'Statement of Cash Flows'.

Bangladesh Bank:

Some cash and cash equivalent items such as 'money at call and on short notice', T-bills, Prize bond are not shown as cash and cash equivalent. Money at call and on short notice is shown as face item in statement of financial position and T-bills, Prize bonds are shown in Investment.

2.01.06 Non business assets

BFRS:

No indication of non-business assets is found in any BFRSs.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, there must exist a face item named Non-business asset.

2.01.07 Statement of cash flows

BFRS:

Cash flow statement can be prepared either in direct method or in indirect method. The presentation is selected to present these cash flows in a manner that is most appropriate for the business or industry. The method selected is applied consistently.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, statement of cash flows is a mixture of direct and indirect method.

2.01.08 Balance with Bangladesh Bank (CRR)

BFRS:

Balance with Bangladesh Bank should be treated as other assets as it is not available for use in day to day operations as per BAS 7.

Bangladesh Bank:

Balance with Bangladesh Bank is treated as cash and cash equivalents.

2.01.09 Off balance sheet items

BFRS:

There is no concept of off balance sheet items in any BFRS; hence there is no requirement of disclosure to off balance sheet items.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, off balance sheet items e.g. L/C, L/G must be disclosed separately in the face of the statement financial position (balance sheet).

2.01.10 Disclosure of appropriation of profit

BFRS:

There is no requirement to show appropriation of profit in the face of the statement of comprehensive income.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, an appropriation of profit should be disclosed in the face of statement of comprehensive income.

2.01.11 Other comprehensive income

BFRS:

As per BAS 1 'Presentation of Financial Statements', Other Comprehensive Income is a component of financial statements or the elements of Other Comprehensive Income are to be included in a Single Comprehensive Income (OCI) Statement.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements which will strictly be followed by all financial institutions. The templates of financial statements issued by Bangladesh Bank do not include Other Comprehensive Income; and the elements of Other Comprehensive Income are also not allowed to be included in a single Other Comprehensive Income (OCI) Statement. As such the company does not prepare the Other Statement of Comprehensive Income. However elements of OCI, if any, are shown in the statement of changes in equity.

2.01.12 Loans and advance net of provision

BFRS:

Loans and advances should be presented as net of provisions.

Bangladesh Bank:

As per the requirements of DFIM circular No. 11 dated December 23, 2009, provision on loans and advances are presented separately as liability and cannot be netted off against loans and advances.

2.02 Integral components of financial statements

The Financial Statements of the Company include the following components:

1. Statement of financial position (Balance Sheet) as at 31 December, 2014.
2. Statement of comprehensive income (Profit and Loss A/C) for the year ended 31 December, 2014.
3. Statement of Cash Flows for the year ended 31 December, 2014.
4. Statement of Changes in Equity for the year ended 31 December, 2014.
5. Liquidity Statement as at 31 December, 2014.
6. Notes to the Financial Statements.

2.03 Use of estimate & judgments

The preparation of the financial statements of the company in conformity with Bangladesh Bank Circulars and BFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income and expenses. Actual result may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future period affected.

The most significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect on the amounts recognised in the Financial Statements of the company are as follows:

2.03.01 Going Concern

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, Board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.03.02 Impairment Losses on Loans and Advances

The company review their individually significant loans and advances at each reporting date to assess whether an impairment loss should be recorded in the Income Statement. In particular, Management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance made. Loans and advances that have been assessed individually and found to be not impaired and all individually insignificant loans and advances are then assessed collectively, by categorising them into groups of assets with similar risk characteristics, to determine whether a provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident. The collective assessment takes account of data from the loan portfolio (such as levels of arrears, credit utilisation, loan-to-collateral ratios etc.) and judgment on the effect of concentrations of risks and economic data (including levels of unemployment, inflation, interest rates, exchange rates, sovereign rating etc.).

2.03.03 Impairment of Available for Sale Investments

The company review their debt securities classified as available for sale investments at each reporting date to assess whether they are impaired. This requires similar judgments as applied on the individual assessment of loans and advances. The company also record impairment charges on available for sale equity investments when there has been a significant or prolonged decline in the fair value below their cost.

2.03.04 Deferred Tax Assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profits will be available against which such tax losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with the future tax-planning strategies.

2.03.05 Fair Value of Property, Plant and Equipment

The Land and Buildings of the company are reflected at fair value. The company engaged independent valuation specialist to determine fair value of land and building. When current market prices of similar assets are available, such evidence is considered in estimating fair values of these assets.

2.03.6 Useful Life-time of the Property, Plant and Equipment

The company review the residual values, useful lives and methods of depreciation of Property, Plant and Equipment at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

2.03.07 Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities. Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote.

2.04 Statement of cash flows

The cash flow statement has been prepared using the Direct Method as mention in line with Bangladesh Accounting standard 7 'Statement of cash flows'.

2.05 Consistency

In accordance with the IFRS framework for the presentation of Financial Statements together with Bangladesh Accounting Standard 1 'Presentation of Financial Statements' and Bangladesh Accounting Standard 8 'Accounting Policies, Changes in Accounting Estimates and Errors', BIFFL Ltd. applies the accounting disclosure principles consistently from one period to the next.

2.06 Reporting period

These financial Statements cover one calendar year from 01 January 2014 to 31 December 2014.

2.07 Presentation and functional currencies

The figures of the financial statements are presented in Bangladeshi currency (BDT) which is company's functional currency and have been rounded off to the nearest integer.

2.08 Assets and basis of their valuation

2.08.01 Cash and cash equivalents

Cash and cash equivalents include notes and coins on hand, unrestricted balances held with Bangladesh Bank highly liquid financial assets.

2.08.02 Investment in securities

Investment in marketable ordinary shares as well as investment in non-marketable shares have been shown at cost. Full provision for diminution in value of shares has been made as per Bangladesh Bank

guidelines. Market value of securities has been determined on the basis of the value of securities at the last trading day of the period (last trading day for the year was 30 December, 2014). Unrealized gain on investment was not recognized as income in the financial statements.

The company has no investment in securities.

2.08.03 Loans, advances and provisions

Loans and advances are stated at gross amount. General provisions on unclassified loans and Off-Balance Sheet Items, specific provisions for classified loans and interest suspense account thereon are shown under other liabilities. Provision is made on the basis of quarter end against classified loans and advances review by the management and instruction contained in FID Circular no. 08 dated 3 August 2002, FID circular no. 03 and dated 03 May 2006.

a) Interest on loans and advances

Interest is calculated on a daily product basis but charged and accounted for on accrual basis. Interest is calculated on unclassified loans and advances and recognized as income during the year. Interest on classified loans and advances is kept in suspense account as per Bangladesh Bank instructions and such interest is not accounted for as income until realised from borrowers. Interest is not charged on bad and loss loans as per guidelines of Bangladesh Bank.

b) Provision for loans and advances

Provision for loans and advances are made on quarter basis as well as year-end review by management following instructions contained in FID circular No. 08 dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April issued by Bangladesh Bank. General Provision on unclassified loans and advances and specific provision on classified loans & advances are given below:

c) Rate of provision

Particulars	All loan/lease
Standard-other than SME	1%
Standard-SME	0.25%
Special mention account (SMA)	5%
Sub-standard (SS)	20%
Doubtful (DF)	50%
Bad/loss (BL)	100%

d) Presentation of loans and advances

Loans and advances are shown at gross amount as assets while interest suspense and loan loss provision against classified advances are shown as liabilities in the statement of financial position.

e) Write off loans and advances

Loans and advances/investments are written off as per guidelines of Bangladesh Bank. These written off however will not undermine/affect the claim amount against the borrower. Detailed memorandum records for all such written off accounts are meticulously maintained and followed up.

2.08.04 Property, plant and equipment

2.08.04.01 Owned assets

Own property, plant and equipment are stated at cost less accumulated depreciation. The cost of an asset comprises its purchase price and any directly attributable costs associated with bringing the assets to its working condition for its intended use as per Bangladesh Accounting Standard 16 'Property, Plant and Equipment'.

2.08.04.02 Leased assets

Leasehold assets are accounted for as Finance Lease and capitalized at the inception of the lease at the fair value of the leased property or at the present value of the minimum lease payments, whichever is lower as per Bangladesh Accounting Standard 17 'Leases'. The corresponding obligation under the lease is accounted for as Liability.

2.08.04.03 Subsequent expenditure on property, plant and equipment

Subsequent expenditure is capitalized only when it increases the future economic benefits from the assets. All other expenditures are recognized as an expense as and when they are incurred.

2.08.04.04 Depreciation on property, plant & equipment

Depreciation on fixed assets is charged consistently on straight-line method at following rates throughout the estimated useful life of the assets. On newly acquired assets depreciation is charged for the full month irrespective of date of acquisition in month while no depreciation is charged on the assets disposed of during the year.

Sl. No.	Category of Fixed assets	Rate of Depreciation
1	Land & Land Development	0%
2	Office Building	10%
3	Furniture & Fixtures	10%
4.	Motor Vehicles	20%
5.	Computer	30%
6.	Accounting Software	50%
7.	Electronic & Installation	10%

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the concerned asset and is recognised accordingly in the Profit and Loss Account.

2.08.04.05 Impairment of property, plant and equipment

The carrying amount of the assets should be reduced to its recoverable amount when carrying amount of an asset is exceeding the recoverable amount of that asset. That reduction is an impairment loss hence recognized as expenses in the statement of comprehensive income (profit and loss account).

2.08.05 Leases

The determination of whether an arrangement is (or contains) a lease is based on the substance of the arrangement at the inception date. The arrangement is assessed for whether fulfilment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

(a) The company as a lessee

(i) Operating lease

Leases in which a significant portion of the risks and rewards of ownership are retained by another party, the lessor, are classified as operating leases. Payments, including pre-payments, made under operating leases (net of any incentives received from the lessor) are charged to income statement on a straight-line basis over the period of the lease.

(ii) Finance lease

Leases of assets where the company has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are recognised at the lease's commencement at the lower of the fair value of the leased property and the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant rate on the finance balance outstanding. The corresponding rental obligations, net of finance charges, are included in current and non-current borrowings. No assets has acquired by the company as a finance lease.

(b) The company as a lessor

Leases where the company does not transfer substantially all of the risk and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned. No assets have given by the company as a lease.

2.08.06 Intangible assets

The Company's intangible assets include the value of computer software. An intangible asset is recognised only when its cost can be measured reliably and it is probable that the expected future economic benefits that are attributable to it will flow to the Company.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

The useful lives of intangible assets are assessed to be either finite or indefinite. Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and they are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is presented as a separate line item in the statement of comprehensive income (profit and loss account).

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual values over their estimated useful lives as follows:

<u>Items of intangible Assets</u>	<u>Estimate useful life</u>
Computer software	3.33 years

2.08.07 Non-current assets held for sale

Non-current assets classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets are classified as held for sale if their carrying amounts

will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for immediate sale in its present condition, management has committed to the sale, and the sale is expected to have been completed within one year from the date of classification.

The company has no such asset which held for sale.

2.08.08 Other assets

Other assets include all other financial assets and fees and unrealised income receivable, advance for operating and capital expenditure and stocks of stationery and stamp. Details are shown in Note-10. Receivables are recognised when there is a contractual right to receive cash or another financial asset from another entity.

2.08.09 Non-business assets

Non-business assets are acquired on account of the failure of a borrower to repay the loan in time after receiving the decree from the court regarding the right and title of the mortgage property. There are no assets acquired in exchange for loan during the period of financial statements.

2.09 Basis for valuation of liabilities and provisions

2.09.01 Provision for tax

a. Current tax

Provision for Current Tax is made on the basis of the profit for the period as adjusted for taxation purpose in accordance with the provision of Income Tax Ordinance, 1984 and amendments made thereof.

b. Deferred tax

The company has adopted a policy of recognition of deferred tax in accordance with Bangladesh Accounting Standard 12 'Income Taxes'. Deferred tax is provided using the liability method for all temporary timing differences between the carrying amount of assets and liabilities for financial reporting purposes and the amount used for tax purposes. The amount of deferred tax is determined at the effective income tax rate prevailing at the Balance Sheet date.

2.09.02 Employees' benefit obligation

Defined contribution plan

The Company started contributory provident fund scheme for its employees as per provident fund rules. The fund consists of subscription of all participatory employees and contribution from the company at a predetermined rate. The fund is administered by a Board of Trustees and invested separately from the Company's assets.

Defined benefit plan

The Company started operating gratuity scheme as per gratuity rules which is administered by a Board of Trustees and invested separately from the Company's assets.

2.09.03 Write-off

Write-off describes a reduction in recognized value. It refers to recognized or the zero value of an assets. Generally it refers to an investment for which a return on the investment is now impossible or unlikely. The items potential returns is thus calculated and removed (written-off) from the business balance sheet.

2.10 Capital and shareholders' equity

2.10.01 Capital management

The company has a capital management process for measuring, deploying and monitoring its available capital and assessing its adequacy. This capital management process aims to achieve four major objectives; exceed regulatory thresholds and meet long-term internal capital targets, maintain strong credit rating, manage capital levels commensurate with the risk profile of the company and provide the company's shareholder with acceptable returns.

Capital is managed in accordance with the board approved capital management planning from time to time. Senior management develops the capital strategy and oversees the capital management planning of the company. The company's finance and risk management department are key to implementing the company's capital strategy and managing capital. Capital is managed using both regulatory control measure and internal matrix.

2.10.02 Paid up capital

Paid up share capital represents total amount of shareholder capital that has been paid in full by the Government of Bangladesh i.e. ordinary shareholder. In the event of winding-up of the company ordinary shareholder(s) rank after all other shareholders and creditors are fully entitled to any residual proceeds of liquidation.

2.10.03 Statutory reserve

As per the Financial Institution Regulations 1994 it is required for the company to transfer 20% of its current year's profit before tax to reserve until such reserve equals to its paid up capital.

2.10.04 Dividends on ordinary shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

2.11 Contingent liabilities and contingent assets

A contingent liability is –

Any possible obligation that arises from the past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or any present obligation that arises from past events but is not recognised because:

- it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
- the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised but disclosed in the financial statements unless the possibility of an outflow of resources embodying economic benefits is reliably estimated.

Contingent assets are not recognised in the financial statements as this may result in the recognition of income which may never be realised.

2.12 Materiality, aggregation and off setting

Each material item as considered by management significant has been displayed separately in the financial statements. No amount has been set off unless the Company has legal right to set off the amounts and intends to settle on net basis. Income and expenses are presented on a net basis only when permitted by the relevant accounting standards.

The values of any asset or liability as shown in the statement of financial position (balance sheet) are not off-set by way of deduction from another liability or asset unless there exist a legal right therefore. No such incident existed during the year.

2.13 Revenue recognition

2.13.01 Income from lease finance

The lease transactions are accounted for under finance lease in line with IAS -17 as adopted by the Institute of Chartered Accountants of Bangladesh. The aggregate lease receivables including un-guaranteed residual value throughout the lease term are recorded as gross receivables while excess of gross receivables over the total acquisition cost including interest during the period of acquiring the lease equipment constitutes the unearned lease income

2.13.02 Income from direct finance

Direct finance operation consists of long term, short term and working capital finance, books of account for which are maintained based on the accrual method of accounting. Interest earnings from direct finance are recognized as operational revenue periodically.

2.13.03 Dividend income

Revenue is recognised when the company right to receive the payment is established, which is generally when the shareholders approve the dividend.

2.13.04 Other Operational income

Other operational income is recognized as and when received. Such income comprises of the following:

- a. Appraisal and documentation fees
- b. Commitment fees,
- c. Supervision fees,
- d. Delinquent charge,
- e. Due diligence fees, and
- f. Miscellaneous receipts.

2.14 Earnings per share

Earnings per share is calculated by dividing the profit or loss attributable to ordinary shares of the BIFFL by the weighted average number of ordinary shares outstanding during the year. BIFFL calculates EPS in accordance with Bangladesh accounting standard 33 'Earnings per Share' which has been shown in the profit and loss and computation is stated in Note no. 37.

Diluted Earnings per share is not required to be calculated for the year as there is no scope for dilution during the year.

2.15 Presentation of operating segments

There are no reportable operating segments of BIFFL as on reporting date according to the definition of operating segments of IAS 14 and IFRS 8.

2.16 Contingent assets & liabilities

The Company does not recognize contingent liabilities and contingent assets but disclosed the existence of contingent liabilities and assets in the financial statements. A contingent liability is a probable obligation that arises from past events whose existence will be confirmed by occurrence or non-occurrence of uncertain future events not within the control of the company or a present obligation that is not recognized because outflow of resources is not likely or obligation cannot be measured reliably.

2.17 Liquidity statements

The liquidity statement has been prepared in accordance with remaining maturity grouping of Assets and Liabilities as of the close of the reporting period as per following bases:

- Balance with other company's and financial institutions are on the basis of their maturity term.
- Investments are on the basis of their residual maturity term.
- Loans and Advances are on the basis of their repayment /maturity schedule.
- Property, plant and equipments are on the basis of their useful lives.
- Other assets are on the basis of their adjustments terms.
- Borrowings from other company's and financial institutions are on the basis of their maturity/repayment schedule.
- Deposits and other accounts are on the basis of their maturity terms and past behavioral trends.
- Other liabilities are on the basis of their settlement terms.

2.18 Events after the reporting period

Events after the reporting period that provide additional information about the company's position at the statement of financial position date are reflected in the financial statements in Note no. 45 as per Bangladesh Accounting Standards BAS-10: 'Events after the reporting period'.

2.19 Compliance report on Bangladesh accounting standards (bas) and Bangladesh financial reporting standards (BFRS)

The following Accounting and Reporting Standards are applicable for Bangladesh Infrastructure Finance Fund Limited and which are followed in preparing the Financial Statements of the Company:

Sl. No.	Name of the BAS	BAS No.	Status
01	Presentation of Financial Statements	01	Applied *
02	Inventories	02	Not Applicable
03	Cash Flow Statements	07	Applied

Sl. No.	Name of the BAS	BAS No.	Status
04	Accounting Policies, Changes in Accounting estimates and Errors	08	Applied
05	Events after the Balance Sheet Date	10	Applied
06	Construction Contract	11	Not Applicable
07	Income Taxes	12	Applied
08	Segment Reporting	14	Not Applicable
09	Property, Plant and Equipment	16	Applied
10	Leases	17	Applied
11	Revenue	18	Applied
12	Employee Benefits	19	Applied
13	Accounting for Government Grants and Disclosure of Government Assistance	20	Not Applicable
14	The Effects of Changes in Foreign Exchange Rates	21	Applied
15	Borrowing Costs	23	Not Applicable
16	Related Party Disclosures	24	Applied
17	Accounting and Reporting by Retirement Benefit Plans	26	Applied
18	Consolidated and Separate Financial Statements	27	Not Applicable
19	Investments in Associates	28	Not Applicable
20	Interest in Joint Ventures	31	Not Applicable
21	Financial Instruments: Presentation	32	Applied
22	Earnings per Share	33	Applied
23	Interim Financial Reporting	34	Applied
24	Impairment of Assets	36	Not Applied
25	Provision, Contingent Liabilities and Contingent Assets	37	Applied
26	Intangible Assets	38	Applied
27	Financial Instruments: Recognition and Measurement	39	Applied
28	Investment Property	40	Not Applicable
29	Agriculture	41	Not Applicable

*As the regulatory requirements differ with the standards, relevant disclosures are made in accordance with Bangladesh Bank's requirements.

Sl. No.	Name of the BAS	BAS No.	Status
01	First Time adoption of IFRS	1	Not Applicable
02	Share Based Payment	2	Not Applicable
03	Business Combinations	3	Not Applicable
04	Insurance Contracts	4	Not Applicable
05	Non-current Assets held for sales and discontinued operations	5	Applied
06	Exploration for and Evaluation of Mineral Resources	6	Not Applicable
07	Financial Instruments: Disclosures	7	Applied
08	Operating Segments	8	Not Applicable
09	Financial Instruments	9	Applied
10	Consolidated financial statements	10	Not Applicable
11	Joint Arrangements	11	Not Applicable
12	Discloser of interest in other entities	12	Not Applicable
13	Fair value measurement	13	Applied

2.20 Capital adequacy and market discipline

To cope with the international best practices and to make up the capital more risks sensitive as well as more shock resilient, a road map was issued in August 2010 on implementation of Basel Accord in the FIs. Being well pursuant with the road map, prudential guidelines namely 'Capital Adequacy and Market Discipline for Financial Institutions' had been introduced by Bangladesh Bank from December, 2011. The guidelines came into force from 1 January, 2012 with necessary supplements/revisions. Instructions in respect of Minimum Capital Requirement, Adequate Capital and Disclosures requirement as stated in the guidelines have been followed for the purpose of statutory compliance.

As per prudential guideline BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I.

Pillar – 1: Minimum capital requirement

Credit Risk

The calculation of capital requirement against credit risk is more elaborate and risk sensitive. The Accord gives a choice of some sophisticated approaches to address risks, and adoption of a Particular approach depends on the risk measurement capabilities and robustness of the systems in place in a Financial Institution. A Standardized Approach has been the preliminary choice of FIs for the credit risk calculation.

Market Risk

Market risk is defined as the risk of losses in on and off-balance-sheet positions arising from movements in market prices. The risks subject to this requirement are:

- The risks pertaining to interest rate related instruments and equities in the trading book;
- Foreign exchange risk and commodities risk throughout the FI.

The capital charges for interest rate related instruments and equities applied to the current trading book items prudently valued by BIFFL. The capital charges for foreign exchange risk and for commodities risk applied to BIFFLs' total currency and commodity positions, subject to some discretion to exclude structural foreign exchange positions.

Operational Risk

The accord introduces for the first time a capital charge for operational risk. The framework presents three methods for calculating operational risk capital charges in a continuum of increasing complexity and risk sensitivity. These methods are the Basic Indicator approach (a fixed percentage of gross income amount), Standardized approach (sum of a certain percentage of FI's income in each business line) and Internal Measurement approach (Statistical measure of FIs operational loss based on its historical loss data). But initially, Basic Indicator Approach has been applied for calculating the capital charge against operational risk.

2.21 Stress testing

Stress Testing is an important risk management tool that is used by the Financial Institutions as part of internal risk management and through the Basel II capital adequacy framework, is promoted by Bangladesh Bank. Stress Testing alerts Financial Institutions management to adverse unexpected

outcomes related to a variety of risks and provides an Indication of how much capital might be needed to absorb losses should large shock occur. Stress Testing supplements other risk management approaches and measures playing particularly important role in:

- Providing forward-looking assessment of risk;
- Overcoming limitations of models and historical data;
- Supporting external and internal communication;
- Feeding into capital and liquidity planning procedures;
- Informing the setting of an FI's risk tolerance; and
- Facilitating the development of risk mitigation or contingency plans across a range of stressed conditions.

Stress Testing guideline have been issued by Bangladesh bank to provide a structured way of assessing the vulnerability of financial institutions to extreme but plausible market conditions. The guidelines enable institutions to accurately assess risk and define the "risk appetite" of the organization and also provide critical information to senior management for decision around capital allocation and contingency planning.

BIFFL exercise stress testing on its portfolio on quarterly basis and submit its stress testing report as per format prescribed by Bangladesh Bank on regular basis.

		Amount in Taka	
		2014	2013
3.00 Cash			
Cash in hand (3.1)		17,854	22,807
Balance with Sonali Bank as agent of Bangladesh Bank (3.2)		47,000,000	9,383
		47,017,854	32,190
3.1 Cash in hand			
In local currency		17,854	22,807
In foreign currency		-	-
		17,854	22,807
3.2 Balance with Bangladesh Bank and its agents Bank(s)			
In local currency		-	-
Balance with Baangladesh Bank		47,000,000	9,383
In foreign currency		-	-
		47,000,000	9,383
4 Balance with banks and other financial institutions			
Inside Bangladesh			
Current accounts (Note-4.1)		43,185,274	-
Short term deposit accounts (Note-4.2)		12,789	23,576,884
Fixed deposit accounts (Note-4.3)		19,860,947,565	20,676,302,098
		19,904,145,628	20,699,878,982
Outside Bangladesh		-	-
		19,904,145,628	20,699,878,982
The company does not maintain any account outside of Bangladesh			
4.1 Current account			
One Bank Ltd.		43,185,274	-
		43,185,274	-
4.2 Short term deposit account			
One Bank Ltd.		3,406	23,576,884
Sonali Bank Ltd.		9,383	-
		12,789	23,576,884
4.3 Fixed deposit accounts			
AB Bank Ltd.		412,567,500	-
First Security Islami Banl Ltd.		200,000,000	-
NRB Commercial Bank Ltd.		307,087,500	-
NRB Bank Ltd.		100,000,000	-
One Bank Ltd.		160,000,000	-
Midland Bank Ltd.		150,000,000	-
Union Bank Ltd.		100,000,000	-
Prime bank Ltd		160,000,000	-
Janata Bank Ltd.		6,921,706,974	4,586,650,763
Dhaka Bank Ltd.		-	398,039,268
EXIM Bank Ltd.		-	671,447,294
National Bank Ltd.		1,239,226,861	660,523,067
Jamuna Bank Ltd		1,235,507,522	796,925,799
Rupali Bank Ltd.		5,353,525,016	4,596,274,870
Sonali Bank Ltd.		2,921,326,192	5,523,419,786
United Commercial Bank Ltd.		600,000,000	350,000,000
Bank Asia Ltd.		-	400,000,000
IFIC Bank Ltd.		-	2,693,021,250
		19,860,947,565	20,676,302,097

		Amount in Taka	
		2014	2013
4.4	Maturity grouping of balance with banks and other financial institutions		
	On demand	43,198,063	-
	Up to 1 month	-	-
	Over 1 month but not more than 3 months	6,752,722,172	-
	Over 3 months but not more than 1 year	13,108,225,393	-
	Over 1 year but not more than 5 years	-	20,676,302,098
	Over 5 years	-	-
		19,904,145,628	20,676,302,098
5	Money at call and short notice:	-	-
6	Investments		
	Investment classified as per nature:		
	Government (Note -6.1)	-	-
	Others (Note-6.2)	-	-
		-	-
6.1	Government Securities:		
	Treasury bills	-	-
	National investment bonds	-	-
	Bangladesh Bank bills	-	-
	Government notes / bonds	-	-
	Others	-	-
		-	-
6.2	Other investments:		
	Investment in shares	-	-
	Debenture and bonds	-	-
	Other investment	-	-
		-	-
6.3	Maturity grouping of investments:		
	On demand	-	-
	Up to 1 month	-	-
	Over 1 month but not more than 3 months	-	-
	Over 3 months but not more than 1 year	-	-
	Over 1 year but not more than 5 years	-	-
	Over 5 years	-	-
		-	-
		-	-
	Bangladesh Infrastructure Finance Fund Ltd. (BIFFL) was not involved in any Investments.		
7	Leases, Loans and advances :		
	a) Inside Bangladesh		
	Leases (Note -7.1)	-	-
	Loans	1,033,064,192	-
	Cash credits	-	-
	Overdrafts	-	-
	Sub-total	1,033,064,192	-
	b) outside Bangladesh	-	-
	Total	1,033,064,192	-

		Amount in Taka	
		2014	2013
7.1	Leases	-	-
7.2	Sector wise leases, loans and advances		
	Public sector	-	-
	Co-operative sector	-	-
	Private sector	1,033,064,192	-
		1,033,064,192	-
7.3	Residual maturity grouping of leases, loans and advances		
	On demand	-	-
	Up to 1 month	-	-
	Over 1 month but not more than 3 months	25,826,604	-
	Over 3 months but not more than 1 year	77,479,812	-
	Over 1 year but not more than 5 years	490,705,476	-
	Over 5 years	439,052,300	-
		1,033,064,192	-
7.4	Leases, loans and advances on the basis of significant concentration		
	a. Leases, loans and advances to Directors and organizations related to Directors (fully secured)	-	-
	b. Leases, loans and advances to Chief Executive Officer and other senior executives	191,630	-
	c. Leases, loans and advances to customers groups:	-	-
	d. Leases, loans and advances on sector basis:	-	-
	i) Textiles	-	-
	ii) Garments and Accessories	-	-
	iii) Transport (including Marin Transport)	-	-
	iv) Chemicals and pharmaceuticals	-	-
	v) Iron, Steel and Engineering	-	-
	vi) Agricultural Equipments and Agro Industries	-	-
	vii) Power and Energy	1,032,872,562	-
	viii) Electronics and Electrical	-	-
	ix) Information technology (IT)	-	-
	x) Paper printing and Packaging	-	-
	xi) Plastic	-	-
	xii) Real Estate and Housing	-	-
	xiii) Food and Beverage	-	-
	xiv) Glass and Ceramics	-	-
	xv) Services	-	-
	xvi) Others	-	-
	Sub-total	1,033,064,192	-

		Amount in Taka	
		2014	2013
7.5	Leases, loans and advances on geographical basis:		
	Inside Bangladesh:		
	Urban :		
	Dhaka Division	1,033,064,192	-
	Chittagong Division	-	-
	Khulna Division	-	-
	Rajshahi Division	-	-
	Barisal Division	-	-
	Sylhet Division	-	-
	Sub-total	<u>1,033,064,192</u>	<u>-</u>
	Rural :		
	Dhaka Division	-	-
	Chittagong Division	-	-
	Khulna Division	-	-
	Rajshahi Division	-	-
	Barisal Division	-	-
	Sylhet Division	-	-
	Sub-total	<u>-</u>	<u>-</u>
	Outside Bangladesh:	-	-
	Total	<u>1,033,064,192</u>	<u>-</u>
7.6	Classification of Leases, loans and advances :		
	Unclassified :		
	Standard	1,033,064,192	-
	Special mention account	-	-
	Sub-total	<u>1,033,064,192</u>	<u>-</u>
	Classified :		
	Sub-standard	-	-
	Doubtful	-	-
	Bad/Loss	-	-
	Sub-total	-	-
	Total	<u>1,033,064,192</u>	<u>-</u>
8	Bills purchased and discounted		
	Payable in Bangladesh	-	-
	Payable outside Bangladesh	-	-
		<u>-</u>	<u>-</u>

As at 31 December 2014, Bangladesh Infrastructure Finance Fund Ltd. (BIFFL) was not involved in any transactions relating to bills purchase and or discount.

		Amount in Taka	
		2014	2013
9	Fixed assets including premises, furniture and fixtures:		
	Cost:		
	Opening Balance	11,852,404	10,966,323
	Addition during the year	1,720,223	886,081
		13,572,627	11,852,404
	Adjustment during the year	-	-
	Closing Balance (A)	13,572,627	11,852,404
	Less: Accumulated Depreciation :		
	Opening Balance	4,762,816	2,280,165
	Charged during the year:	2,505,391	2,482,651
		7,268,207	4,762,816
	Adjustment during the year	-	-
	Closing Balance (B)	7,268,207	4,762,816
	Written Down Value (A-B) (Annexure -A)	6,304,420	7,089,588
10	Other assets		
	Tax deducted at source (Note-10.1)	1,137,841,620	540,998,413
	Advance and Prepayments (Note-10.2)	-	759,571
	Interest receivable on FDR	418,161,496	-
	Security deposit	11,475	-
	Advance to suppliers	623,172	-
	Receivable Progoti Industries Ltd.	2,096	-
	Deferred tax assets (Note-10.3)	362,954	-
		1,557,002,813	541,757,984
10.1	Tax deducted at source		
	Opening balance	540,998,413	307,543,891
	Income tax deducted at sources	227,141,876	233,454,521
	Advance income tax paid	910,699,747	-
	Less: Adjustment of AIT on FDR	(540,998,416)	-
		1,137,841,620	540,998,413
10.2	Advance and Prepayments		
	Opening balance	759,571	56,763
	Addition during the year	-	702,808
	Adjustment during the year	(759,571)	-
		-	759,571
10.3	Deferred tax assets		
	Opening balance		
	Deferred tax income during the year	362,954	-
		362,954	-
	Tax deductible temporary difference		
	Gratuity payable	854,009	-
	Applicable tax rate	42.50%	-
	Closing deferred tax assets	362,954	-
11	Non-business assets	-	-
12	Borrowings from banks, other financial institutions and agents	-	-
13	Deposits and other accounts	-	-

		Amount in Taka	
		2014	2013
14	Other Liabilities		
	Provision for Income Tax	14.1 2,097,286,641	2,230,384,969
	Accounts Payable	14.2 3,850,125	545,210
	Audit fees payable	50,000	172,500
	Provision for Loan, Lease & Advance	10,330,778	-
	Deferred tax liabilities	14.3 828,865	-
	Employee benefit liabilities	14.4 854,009	-
	Other provision	76,400	76,400
		2,113,276,818	2,231,179,079
14.1	Provision for income tax		
	Opening balance	2,230,384,969	1,287,266,476
	Add: Addition during this year	1,154,168,148	943,118,493
	Less : Adjustment this year	1,287,266,476	-
		2,097,286,641	2,230,384,969
14.2	Accounts Payable:		
	Salary including Performence Bonus	2,775,533	-
	Withholding tax	97,998	139,195
	Withholding VAT	976,594	406,015
		3,850,125	545,210
14.3	Deferred tax liabilities		
	Opening balance	-	-
	Defferred tas expense during the year	828,865	-
		828,865	-
	Accounting base written down value of PPE	6,304,421	-
	Tax base written down value of PPE	4,354,150	-
	Taxable temporary difference	1,950,270	-
	Applicable tax rate	42.50%	-
	Closing deffered tax liabilities	828,865	-
14.4	Employee benefit liabilities		
	Gratuity payable	854,009	-
		854,009	-
15	Share Capital:		
15.1	Authorized capital		
	1,000,000,000 Ordinary shares of Tk. 100 each	100,000,000,000	100,000,000,000
15.2	Issued, Subscribed & Paid up Capital :		
	1600000000 Shares @Tk 100 each	16,000,000,000	16,000,000,000
16	Share premium	-	-
17	Statutory reserve		
	Opening balance	603,515,933	348,319,164
	Add: Transferred during the year	283,335,685	255,196,769
	Closing balance	886,851,618	603,515,933

According to the Rule 6 of The Financial Institutions Regulation 1994, the company transfers 20% of its net profits for the respective year to statutory reserve.

		Amount in Taka	
		2014	2013
18 Other Reserve:		-	-
The company doesn't maintain any other reserve.			
19 Retained earnings			
Opening balance		2,414,063,732	1,393,276,657
Add: Net profit for this year		1,416,678,424	1,275,983,844
		3,830,742,156	2,669,260,501
Less: Transfer to statutory reserve		283,335,685	255,196,769
Closing balance		3,547,406,471	2,414,063,732
20 Income Statement			
20.1 Income			
Interest, discount and similar income		-	-
Interest income on leases, loans and advances (Note-21)		63,961,291	-
Investment income (Note-23)		-	-
Other operating income (Note - 24)		2,693,956,201	2,257,274,260
		2,757,917,492	2,257,274,260
20.2 Expenses			
Salary and allowances (Note-25)		11,863,677	4,511,542
Rent, taxes, insurance, electricity, etc. (Note-26)		429,955	478,906
Legal expenses (Note-27)		298,139	-
Postage, stamp, telecommunication etc. (Note-28)		447,449	224,751
Stationery, printing, advertisement etc. (Note-29)		3,551,069	935,112
Managing Director's salary and allowances (Note-30)		6,082,052	3,981,565
Directors' fee (Note-31)		211,000	117,000
Auditors' fee (Note-32)		57,500	57,500
		22,940,841	10,306,376
21 Interest income on leases, loans and advances:			
Interest income from Term Loan (SEPL)		63,309,187	-
Delinquency Fee (SEPL)		652,104	-
		63,961,291	-
22 Interest expenses on deposits, borrowings, etc.:			
Interest expense on SOD loan - National Bank Ltd.		357,452	-
Interest expense on SOD loan - EXIM Bank Ltd.		1,125,000	-
		1,482,452	-
23 Investment income:		-	-
24 Other operating income:			
Interest revenue (FDR)		2,268,580,286	2,255,968,925
Accrued Interest Revenue (FDR)		418,161,497	-
Interest on SND		2,838,448	1,305,335
Revenue from Fees (Note - 24.1)		4,375,970	-
		2,693,956,201	2,257,274,260

		Amount in Taka	
		2014	2013
24.1	Revenue from Fees		
	Due Diligence Fee	3,825,000	-
	Loan Application Fee	527,000	-
	Fees from Recruitment Application	23,970	-
		4,375,970	-
25	Salary and allowances:		
	Salary and allowances	9,148,885	4,175,442
	Bonus	2,371,200	336,100
	Gratuity provision	343,592	-
		11,863,677	4,511,542
26	Rent, Taxes, Insurance, Electricity etc.		
	Rent, rate and taxes	-	-
	Insurance and electricity	429,955	478,906
	Power and electricity	-	-
		429,955	478,906
27	Legal expenses:		
	Legal expense	298,139	-
		298,139	-
28	Postage, Stamp, Telecommunication etc.:		
	Postage and courier	2,788	10,099
	Telephone, fax, internet and mobile	441,311	205,652
	Stamp and court fee	3,350	9,000
		447,449	224,751
29	Stationery, Printing, Advertisement etc.:		
	Printing and stationery	419,313	253,399
	Advertisement and publicity	1,789,866	681,713
	Books & Periodicals	6,000	-
	Business development Cost	1,335,890	-
		3,551,069	935,112
30	Chief executive's salary and allowances:		
	Remuneration	4,900,000	3,475,000
	Festival Bonus	350,000	350,000
	Medical allowances	276,564	156,565
	Gratuity	510,417	-
	Telephone & Internet Allowance	45,071	-
		6,082,052	3,981,565
31	Directors' fees:		
	Directors honorarium	211,000	117,000
	Other benefits	-	-
		211,000	117,000
32	Audit fee:		
	Audit fee	57,500	57,500
		57,500	57,500
33	Depreciation and repairs of company's assets:		
	Repair & maintenance	2,885,303	1,442,112
	Depreciation on company's fixed assets (Annexure-B)	2,505,391	2,482,651
		5,390,694	3,924,763

		Amount in Taka	
		2014	2013
34	Other administrative expenses:		
	Office maintenance	363,507	227,272
	Travelling and conveyances	26,653	12,006
	Training Expenditure	382,237	25,000
	Car Maintanence	-	44,045
	Registration fee (RJSC)	-	22,896,031
	Renewal & Registration	362,528	-
	Bank Charge & Commission	4,375	297,648
	Entertainment expenses	455,644	224,682
	Honorarium - Recruitment Committee	64,000	214,100
	Honorarium - Executive Committee	10,000	-
	Miscellaneous expenses	570	-
	Consulancy fee - IIFC	1,617,538	-
	Excise Duty	300,000	-
	Donation for Muktijoddah jadughar	500,000	-
	Project Site Supervision Expense	35,099	-
	Tax Consultant Fee	253,000	-
		4,375,151	23,940,784
35	Provision for leases, loans and advances:		
	Provision for classified leases, loans and advances	-	-
	Provision for unclassified leases, loans and advances	10,330,778	-
		10,330,778	-
36	Provision for income tax:		
	Current tax (Note-36.1)	1,296,253,241	943,118,493
	Deferred tax	465,911	-
		1,296,719,152	943,118,493
36.1	Current tax expense:		
	Income tax expense during the year	1,154,168,152	943,118,493
	Previous year shortage of tax provision	142,085,089	-
		1,296,253,241	943,118,493
37	Earning per share :		
	Earning per share (EPS) is calculated in accordance with Bangladesh Accounting Standard No. 33. Earning per share has been calculated as follows:		
	Net profit after tax	1,416,678,424	1,275,983,844
	Number of ordinary shares outstanding	160,000,000	160,000,000
	Earning per share	8.85	7.97
38	Related party disclosures :		
	The company doesn't have any transaction with related party.		
39	Unacknowledged debt :		
	The Company had no claim against it which has not been acknowledged as debt at the balance sheet date.		
40	Receivable from directors :		
	No amount is due from any of the directors of the Company.		

41 Disclosure regarding branch :

As at December 2014, the company has no branch in or outside of Bangladesh.

42 Disclosure of Executive Committee :

To conform with the Bangladesh Bank guidelines, the Board of Directors of BIFFL constituted the Executive Committee of the company comprising members from the Board and the committee met several times during the year 2014.

43 Rounding off

Monetary figures in the financial statements have been rounded off to the nearest Taka.

44 Authorisation for issue

These functional statements were approved and authorised for issue on 12th May, 2015 by the Board of Directors in the 25th Board Meeting.

45 Events after reporting period

There is no material events after the reporting date that are not adjusting events came to management attention which may be needful for the stakeholders.

Bangladesh Infrastructure Finance Fund Ltd.
Schedule of Fixed Assets
As at 31 December 2014

Particulars	C O S T					Balance as at 01.01.14	Addition during the year	Disposal/ adjustment during the year	Balance as at 31.12.14	Balance as at 01.01.14	Charged during the year	Disposal/ adjustment during the year	Balance as at 31.12.14	Written down value as at 31.12.14
BIFFL Website	172,500			-	172,500	172,500			172,500	172,500	-		172,500	-
Scanner & Printer	79,000	84,800		-	163,800	47,400			76,555	47,400	29,155		76,555	87,245
Desktop PC	548,171	331,820		-	879,991	246,201			429,219	246,201	183,018		429,219	450,772
Vehicle	10,442,323	196,888		-	10,639,211	4,176,929			6,265,394	4,176,929	2,088,465		6,265,394	4,373,817
Accounting Software	112,860			-	112,860	56,430			112,860	56,430	56,430		112,860	-
Building & Civil Construction	30,200	353,575		-	383,775	3,020			26,665	3,020	23,645		26,665	357,110
LT Pannel & PFI Plant	190,000			-	190,000	19,000			38,000	19,000	19,000		38,000	152,000
Multimedia Projector	60,000	41,860		-	101,860	18,000			38,093	18,000	20,093		38,093	63,767
Furniture	193,970	404,825		-	598,795	19,397			75,332	19,397	55,935		75,332	523,463
Electric Meter	9,400			-	9,400	940			1,880	940	940		1,880	7,520
Projector Screen	8,000	12,000		-	20,000	2,400			6,900	2,400	4,500		6,900	13,100
Wasa Meter	5,980			-	5,980	598			1,196	598	598		1,196	4,784
Office Equipment		294,455		-	294,455	-			23,612	-	23,612		23,612	270,843
Total 2014	11,852,404	1,720,223	-	-	13,572,627	4,762,815			7,268,206	4,762,815	2,505,391		7,268,206	6,304,421

Photo Archive



3rd Annual General Meeting 2013
held on Sunday, 14 September 2014 at 7.00 pm



3rd Annual General Meeting, BIFFL



Strategic Planning Session of Retreat Program at The Palace Resort, Habiganj.



Annual Dinner On the occasion of 3rd Annual General Meeting



BIFFL Representative with the Mayor Dhaka North City Corporation

Photo Archive



Football Match Session of Retreat Program at The Palace Resort, Habiganj



Sinha Peoples Energy Limited, a 52.50 MW HFO based power plant financed by BIFFL under syndication.



Sinha Peoples Energy Limited, a 52.50 MW HFO based power plant financed by BIFFL under syndication.



ARB Bricks, a Zig Zag Brick Field financed by BIFFL under Bangladesh Bank Refinancing Scheme.



Imperial Hospital, Pahartoli, Chittagong, Financed by BIFFL



Regent Energy & Power Limited, a 108 MW gas based power plant approved by BIFFL under syndication.

BIFFL MANCOM



www.biffl.org.bd

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